

**STANDARD
GENERAL CONDITIONS
OF THE
CONSTRUCTION CONTRACT
FOR
THE CITY OF LAUDERDALE LAKES, FLORIDA**

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GENERAL CONDITIONS

ARTICLE I - DEFINITIONS

Wherever used in the Contract Documents the following terms have the meanings indicated which are applicable to both the singular and plural thereof:

1.1. **Addenda** - Written or graphic instruments issued prior to the opening of Bids which clarify, correct or change the Bidding Requirements or the Contract Documents.

1.2. **Application for Payment** - The form accepted by the CITY which is to be used by CONTRACTOR to request progress payments or final payment and which is to be accompanied by such supporting documentation as is required by the Contract Documents.

1.3. **Bid** - The offer of the BIDDER submitted on the prescribed form setting forth the prices for the WORK.

1.4. **BIDDER/PROPOSER** - One who submits a Bid or Proposal directly to the CITY.

1.5. **Bid Documents** - Includes the Invitation to Bid/Request for Proposal, Instructions to Bidders, Bid Form, and proposed Contract Documents (including all Addenda issued prior to receipt of Bids).

1.6. **Bonds** - Bid, Performance and Payment bonds and other instruments of security, per Florida Statutes.

1.7. **Change Order** - A document recommended by CITY, which is signed by CONTRACTOR and CITY and authorizes an addition, deletion, or revision in the WORK or an adjustment in the Contract Price or Contract Time, issued on or after the Effective Date of the Contract.

1.8. **CITY** - The City of Lauderdale Lakes or its authorized agents, inspectors or representatives acting within the scope of duties entrusted to them by the CITY.

1.9. **Contract** - The written agreement between CITY and CONTRACTOR covering the WORK to be performed.

1.10. **Contract Documents** - The Contract Documents establish the rights and obligations of the parties and include the Contract, Addenda (which pertain to the Contract Documents), CONTRACTOR'S Bid (including documentation accompanying the Bid and any post Bid documentation submitted prior to the Notice of Tentative Award) when attached as an exhibit to the Contract, the Notice to Proceed, the Bonds, these General Conditions, the Supplementary Conditions, Technical Specifications, and the Drawings as the same are more specifically identified in the Contract, together with all Written Amendments, Change Orders, Field Orders, and CITY'S written interpretations and clarifications issued on or after the Effective Date of the Contract. Approved Shop Drawings and the reports and drawings of subsurface and physical conditions are not Contract Documents. Only printed or hard copies of the items listed in this paragraph are Contract Documents. Files in electronic media format of text, data,

graphics, and the like that may be furnished by CITY to CONTRACTOR are not Contract Documents.

1.11. **Contract Price** - The total monies payable by the CITY to the CONTRACTOR under the terms and conditions of the Contract Document.

1.12. **Contract Time** - The number or numbers of successive days or dates stated in the Contract Documents for the completion of the WORK.

1.13. **CONTRACTOR** - The individual, partnership, corporation, joint-venture, or other legal entity with whom the CITY has entered into the Contract.

1.14. **Day** - A calendar day of 24 hours measured from midnight to the next midnight.

1.15. **Defective WORK** - WORK that is unsatisfactory, faulty, or deficient; or that does not conform to the Contract Documents; or that does not meet the requirements of any inspection, reference standard, test, or approval referred to in the Contract Documents; or WORK that has been damaged prior to the CITY'S recommendation of final payment.

1.16. **Drawings** - The drawings, plans, maps, profiles, diagrams, and other graphic representations which show character, location, nature, extent and scope of the WORK, which have been prepared or approved by CITY are included and/or referred to in the Contract Documents. Shop Drawings are not Drawings as so defined.

1.17. **Effective Date of the Contract** - The date indicated in the Contract, but if no such date is indicated it means the date on which the Contract is signed by the last of the two parties to sign the Contract.

1.18. **Field Order** - A written order issued by CITY which orders minor changes in the WORK but which does not involve a change in the Contract Price or the Contract Times.

1.19. **General Requirements** - See Technical Specifications attached to the plan.

1.20. **Laws and Regulations; Laws or Regulations** - Laws, rules, codes, regulations, ordinances and/or orders promulgated by a lawfully constituted body authorized to issue such Laws and Regulations.

1.21. **Notice to Proceed** - The written notice issued by the CITY, or its agents, to the CONTRACTOR authorizing the CONTRACTOR to proceed with the WORK and establishing the date of commencement of the Contract Time and the date the Contract WORK is to be completed.

1.22. **Notice of Tentative Award** - The official written notice by the CITY to the apparent successful BIDDER stating that upon compliance by the apparent successful BIDDER with the conditions precedent enumerated therein within the time specified, the CITY may enter into a Contract.

1.23. **Partial Utilization** - Placing a portion of the WORK in service for the purpose for which it is intended (or a related purpose) before reaching Substantial Completion for all the WORK.

1.24. **Project** - The total construction of which the WORK to be provided under the Contract Documents may be the whole, or a part as indicated elsewhere in the Contract Documents.

1.25. **Resident Project Representative (RPR)** - The authorized representative of the CITY who is assigned to the Site or any part thereof.

1.26. **Shop Drawings** - All drawings, diagrams, illustrations, schedules, and other data which are specifically prepared by or for the CONTRACTOR to illustrate some portion of the WORK, and all illustrations, brochures, standard schedules, performance charts, instructions, diagrams and other information prepared by a supplier and submitted by the CONTRACTOR to illustrate material or equipment for some portion of the WORK.

1.27. **Specifications** - Those portions of the Contract Documents consisting of written technical descriptions of materials, equipment, construction systems, standards and workmanship as applied to the WORK and certain administrative details applicable thereto.

1.28. **Sub-BIDDER** - One who submits a Bid to a BIDDER.

1.29. **SUB-CONTRACTOR** - An individual, firm, or corporation having a direct contract with the CONTRACTOR or with any other SUB-CONTRACTOR for the performance of a part of the WORK at the Site.

1.30. **Substantial Completion** - The WORK (or a specified part thereof) has progressed to the point where, in the opinion of CITY as evidenced by CITY'S definitive certificate of Substantial Completion, all conditions and requirements accordance with the Contract Documents, so that the WORK (or specified part) can be utilized for the purposes for which it is intended. The terms "substantially complete" and "substantially completed" as applied to any WORK refer to Substantial Completion thereof. When the entire Project is considered to be Substantially Complete, this does not constitute Final Acceptance or Final Completion of the entire Project.

1.31. **SUCCESSFUL BIDDER** - The lowest, qualified, responsible and responsive BIDDER to whom CITY (on basis of CITY'S evaluation as hereinafter provided) makes an award.

1.32. **Supplementary General Conditions** - The part of the Contract Documents which amends or supplements these General Conditions.

1.33. **Supplier** - A manufacturer, fabricator, supplier, distributor, materialman or vendor.

1.34. **Surety** - Any person, firm or corporation which is bound by bid or contract bond with and for the CONTRACTOR.

of permits and regulatory agencies have been satisfied and the WORK is sufficiently complete, in Unit Price WORK - WORK to be paid for on the basis of unit prices.

1.35. **Utilities** - All pipelines, conduits, ducts, cables, wires, manholes, vaults, tanks, tunnels or other such facilities or attachments, and any encasements containing such facilities which have been installed underground or above ground to furnish any of the following services or materials: electricity, gases, steam, liquid petroleum products, telephone or other communications, cable television, water supply or distribution, sewage and drainage removal, traffic or other control systems.

1.36. **WORK** - The entire completed construction or the various separately identifiable parts thereof required to be furnished under the Contract Documents. WORK includes and is the result of performing or furnishing labor and furnishing and incorporating materials and equipment into the construction, and performing or furnishing services and furnishing documents, all as required by the Contract Document.

1.37. **Work Change Directive** - A written directive to CONTRACTOR, issued on or after the Effective Date of the Contract and signed by the CITY, ordering an addition, deletion or revision in the WORK, or which references an emergency or unforeseen physical conditions under which the WORK is to be performed. A Work Change Directive may not change the Contract Price or the Contract Time, but is evidence that the parties expect that the change directed or documented by a Work Change Directive will be incorporated in a subsequently issued Change Order following negotiations by the parties as to its effect, if any, on the Contract Price or Contract Time.

1.38. **Written Amendment** - A written amendment of the Contract Documents, signed by the CITY and CONTRACTOR on or after the Effective Date of the Contract and normally dealing with the non-engineering or non- technical rather than strictly Work-related aspects of the Contract Documents.

ARTICLE 2 - PRELIMINARY MATTERS

2.1. DELIVERY OF BONDS AND INSURANCE CERTIFICATES:

2.1.1. When the CONTRACTOR delivers the signed Contracts to the CITY, the CONTRACTOR shall also deliver to the CITY such Bonds and Insurance Policies, Certificates or other documents as the CONTRACTOR may be required to furnish in accordance with the Contract Documents. The aforementioned documents must be submitted to the CITY prior to any WORK being performed.

2.2. COPIES OF DOCUMENTS:

2.2.1. The CITY shall furnish to CONTRACTOR ONE (1) copy (unless additional copies exist) of the Contract Documents for the execution of the WORK. CONTRACTOR shall be responsible for procuring additional copies.

2.3. NOTICE TO PROCEED:

2.3.1. The Contract Times will commence to run on the date stated in the Notice to Proceed.

2.4. STARTING THE WORK:

2.4.1. CONTRACTOR shall begin to perform the WORK on the commencement date stated in the Notice to Proceed, NO WORK shall be done at the Site prior to said commencement date.

2.4.2. CONTRACTOR'S Review of Contract Documents: Before undertaking each part of the WORK, CONTRACTOR shall carefully study and compare the Contract Documents and check and verify pertinent figures shown thereon and all applicable field measurements. CONTRACTOR shall promptly report in writing to CITY any conflict, error, ambiguity or discrepancy which CONTRACTOR may discover and shall obtain a written interpretation or clarification from CITY before proceeding with any WORK affected thereby; however, CONTRACTOR shall not be liable to CITY for failure to report any conflict, error, ambiguity or discrepancy in the Contract Documents, unless CONTRACTOR knew or reasonably should have known thereof.

2.5. PRECONSTRUCTION CONFERENCE:

2.5.1. The CONTRACTOR is required to attend a preconstruction conference within twenty (20) days after the Contract Times start to run, but before any WORK at the site is started. This conference will be attended by the CITY, and others as appropriate in order to discuss the WORK.

2.5.2. The CONTRACTOR'S initial schedule for shop drawings submittals, obtaining permits and Plan of Operation and CPM Schedule will be reviewed and finalized. As a minimum, the CONTRACTOR'S representatives should include its project manager and schedule expert. If the submittals are not finalized at the end of the meeting, additional meetings will be held so that the submittals can be finalized prior to the submittal of the first Application for Payment. No Application for Payment will be processed prior to receiving acceptable initial submittals from the CONTRACTOR.

2.6. FINALIZING SCHEDULES:

2.6.1. Within ten (10) days of receiving the Notice to Proceed the CONTRACTOR will submit the final schedule approved by the CITY. The finalized progress schedule will be acceptable to the CITY as providing an orderly progression of the WORK to completion within the Contract Time, but such acceptance will neither impose on the CITY responsibility for the progress or scheduling of the WORK nor relieve CONTRACTOR from full responsibility therefor. The finalized schedule of Shop Drawing submissions will be acceptable to the CITY as providing a workable arrangement for processing the submissions. The finalized schedule of values will be acceptable to the CITY as to form and substance.

ARTICLE 3 – USE OF CONTRACT DOCUMENTS

3.1. INTENT:

3.1.1. The Contract Documents comprise the entire agreement between the CITY and CONTRACTOR concerning the WORK. The Contract Documents are complementary: what is called for by one is as binding as if called for by all. The Contract Documents will be construed

in accordance with the laws of the State of Florida with venue in Broward County, Florida.

3.1.2. It is the intent of the Contract Documents to describe the WORK, functionally complete, to be constructed in accordance with the Contract Documents. Any labor, documentation, services, materials or equipment that may reasonably be inferred from the Contract Documents or from prevailing custom or trade usage as being required to produce the intended result will be provided whether or not specifically called for.

3.2. REFERENCE TO STANDARDS:

3.2.1. Reference to standard specifications, manuals or codes of any technical society, organization or association, or to the Laws or Regulations of any governmental authority, whether such reference be specific or by implication, shall mean the latest standard specification, manual, code or Laws or Regulations in effect at the time of opening of Bids/Proposals, except as may be otherwise specifically stated. However, no provision of any referenced standard specification, manual or code (whether or not specifically incorporated by reference in the Contract Documents) shall be effective to change the duties or responsibilities of the CITY, CONTRACTOR or any of their agents or employees from those set forth in the Contract Documents, nor shall it be effective to assign to CITY or CITY'S agents or employees, any duty or authority to supervise or direct the furnishing or performance of the WORK or any duty or authority to undertake responsibility contrary to the provisions of the Contract Documents.

3.3. REVIEW OF CONTRACT DOCUMENTS

3.3.1. If, during the performance of the WORK, CONTRACTOR finds a conflict, error or discrepancy in the Contract Documents, CONTRACTOR shall so notify the CITY, in writing, at once and before proceeding with the WORK affected thereby shall obtain a written interpretation or clarification, except in an emergency as authorized by paragraph 6.13.

3.4. ORDER OF PRECEDENCE OF CONTRACT DOCUMENTS

3.4.1. In resolving conflicts resulting from errors or discrepancies in any of the Contract Documents, the order of precedence shall be as follows:

1. Change Order
2. Construction Contract
3. Addenda, with later date having greater priority
4. Bid/Proposal Form
5. Supplemental General Conditions
6. Invitation to Bid/Request for Proposal
7. Instructions to Bidders/Proposers
8. General Conditions
9. Technical Specifications
10. Contract Drawings

The captions or subtitles of the several articles and divisions of these Contract Documents constitute no part of the context and hereof, but are only labels to assist in locating and reading the provisions hereof.

3.4.2. With reference to the Drawings, the order of precedence is as follows:

1. Figures govern over scaled dimensions
2. Detail drawings govern over general drawings
3. Addenda/Change Order drawings govern over any other drawings
4. Drawings govern over standard drawings

3.4.3. Except as otherwise specifically stated in the Contract Documents or as may be provided by amendment or supplement thereto issued by one of the methods indicated in paragraph 3.5, the provisions of the Contract Documents shall take precedence in resolving any conflict, error, ambiguity or discrepancy between the provisions of the Contract Documents and:

1. The provisions of any such standard, specification, manual, code or instruction (whether or note specifically incorporated by reference in the Contract Documents); or

2. The provisions of any such Laws or Regulations applicable to the performance of the WORK (unless such an interpretation of the provisions of the Contract Documents would result in violation of such Law or Regulation).

No provision of any such standard, specification, manual, code or instruction shall be effective to change the duties and responsibilities of CITY, CONTRACTOR, or any of their SUB-CONTRACTORS, agents or employees from those set forth in the Contract Documents, no shall it be effective to assign to CITY or any of CITY's agents or employees any duty or authority to supervise or direct the furnishing or performance of the WORK or any duty or authority to undertake responsibility inconsistent with the provisions of paragraph 9.10. or any other provision of the Contract Documents.

3.5. AMENDING CONTRACT DOCUMENTS:

3.5.1. The Contract Documents may be amended to provide for additions, deletions and revisions in the WORK or to modify the terms and conditions thereof by a Change Order (pursuant to Article 10).

3.5.2. Additionally, the requirements of the Contract Documents may be supplemented and variations and deviations in the WORK may be authorized, in one or more of the following ways:

- 3.5.2.1. a Field Order (pursuant to paragraph 9.5)

- 3.5.2.2. CITY'S approval of a Shop Drawing or sample (pursuant to paragraphs 6.14), or

- 3.5.2.3. CITY'S written interpretation or clarification (pursuant to paragraph 9.4).

3.6. REUSE OF DOCUMENTS:

3.6.1. Neither CONTRACTOR nor any Sub-CONTRACTOR or Supplier or other person or organization performing or furnishing any of the WORK under a direct or indirect contract with the CITY shall have or acquire any title to or ownership rights in any of the Contract Documents, drawings, technical specifications or other documents used on the WORK; and, they shall not reuse any of them on extensions of the Project or any other project without prior written consent of the CITY.

ARTICLE 4 – SITE OF THE WORK

4.1. AVAILABILITY OF LANDS:

4.1.1. The CITY shall furnish, as indicated in the Contract Documents, the lands upon which the WORK is to be performed, rights-of-way and easements for access thereto and such other lands which are designated for the use of CONTRACTOR. Easements for permanent structures or permanent changes in existing facilities will be obtained and paid for by the CITY, unless otherwise provided in the Contract Documents. Nothing contained in the Contract Documents shall be interpreted as giving the CONTRACTOR exclusive occupancy of the lands or rights-of-way provided. CONTRACTOR shall provide for all additional lands and access thereto that may be required for temporary construction facilities or storage of materials and equipment.

4.1.2. Occupying Private Land: The CONTRACTOR shall not enter upon nor use any property not under the control of the CITY until a written temporary construction easement agreement has been executed by the CONTRACTOR and the property owner(s), and a copy of said easement furnished to the CITY prior to said use; and, the CITY will not be liable for any claims or damages resulting from the CONTRACTOR'S trespass on or use of any such properties. The CONTRACTOR shall provide the CITY with a signed release from the property owner(s) confirming that the lands have been satisfactorily restored upon completion of the WORK.

4.1.3. WORK in State, County and CITY Rights-of-Way and Easements: When the WORK involves the installation of sanitary sewers, storm sewers, drains, water mains, manholes, underground structures, or other disturbances of existing features in or across streets, rights-of-way, easements, or other property, the CONTRACTOR shall (as the WORK progresses) promptly back-fill, compact, grade and otherwise restore the disturbed area to a basic condition which will permit resumption of pedestrian or vehicular traffic and any other critical activity or function consistent with the original use of the land. Unsightly mounds of earth, large stones, boulders, and debris shall be removed so that the site presents a neat appearance as part of the contract.

4.1.4. WORK Adjacent to Telephone, Power, Cable TV and Gas Company Structures: In all cases where WORK is to be performed near telephone, power, water, sewer, drainage, cable TV, or gas company facilities, the CONTRACTOR shall provide written notification to the respective companies of the areas of which WORK is to be performed, prior to the actual performance of any WORK in these areas.

4.1.5. Use of Public Streets: The use of public streets and alleys shall be such as to provide a minimum of inconvenience to the public and to other vehicular and non-vehicular traffic. The CONTRACTOR shall remove any earth or excavated materials spilled from trucks and clean the streets to the satisfaction of the CITY, the Florida Department of Transportation, or other agency or governmental entity having jurisdiction, as applicable.

4.2. REPORTS OF PHYSICAL CONDITIONS:

4.2.1. **Subsurface Explorations:** Where applicable, reference is made in the technical specifications, for identification of those reports of explorations and tests of subsurface conditions at the site that have been utilized by CITY in preparation of the Contract Documents.

4.2.2. **Existing Structures:** Where applicable, reference is made to the technical specifications, for identification of those drawings of physical conditions in or relating to existing surface and subsurface structures (except Underground Facilities referred to in paragraph 4.3 herein) which are at or contiguous to the site that have been utilized by CITY in preparation of the Contract Documents.

4.2.3 The CITY does not make any representation as to the completeness of the reports or drawings referred to in Paragraph 4.2.1. or 4.2.2. above or the accuracy of any data or information contained therein. CONTRACTOR may rely upon the general accuracy of the technical data contained in such reports and drawings but not for the completeness thereof for CONTRACTOR'S purposes including, but not limited to, any aspects of the means, methods, techniques, sequences and procedures of construction to be employed by CONTRACTOR and safety precautions and programs incident thereto. However, the CONTRACTOR may not rely upon any interpretation of such technical data, including any interpolation or extrapolation thereof, or any non-technical data, interpretations, and opinions contained therein.

4.2.4 Where the dimensions and locations of existing structures are of critical importance in the installation or connection of new WORK, the CONTRACTOR shall verify such dimensions and locations in the field before the fabrication of any materials or equipment which is dependent on the correctness of such information. There shall be no additional cost to the CITY for CONTRACTOR'S failure to verify such dimensions and locations, or for inaccurate verifications by CONTRACTOR.

4.3. PHYSICAL CONDITIONS -- UNDERGROUND FACILITIES:

4.3.1. **Indicated:** The information and data indicated in the Contract Documents with respect to existing Underground Utilities at or contiguous to the site is based on information and data furnished to the CITY by the owners of such Underground Utilities or by others.

4.3.1.1. The CITY shall not be responsible for the accuracy or completeness of any such information or data; and,

4.3.1.2 The CONTRACTOR shall notify the Underground Service Alert (USA) System, Phone No. 1-800-227-2600, and Sunshine State One Call Services (1-800-432-4770) at least 48 hours in advance of the commencement of WORK at any site to allow the member utilities to examine the construction site and mark the location of the utilities' respective facilities.

4.3.1.3. The CONTRACTOR acknowledges that some (or all) of the utility companies with facilities shown on the drawings may not be members of the USA System or Sunshine State One Call Services; and, therefore, not automatically contacted by the above referenced telephone number. The CONTRACTOR shall be responsible for making itself aware of utility company facilities not reported by the USA System or Sunshine State One Call Services, and shall be liable for any and all damages stemming from repair or delay costs or any other expenses resulting from the unanticipated discovery of underground utilities. The CONTRACTOR shall be responsible for notifying all of the utilities at least 48 hours in advance of the commencement of

WORK at any site to allow the utilities to examine the construction site and mark the location of the utilities' respective facilities. The CONTRACTOR shall also be responsible for verifying that each utility has responsibly responded to such notification.

4.3.1.4. CONTRACTOR shall have full responsibility for reviewing and checking all such information and data. Further, the CONTRACTOR shall be responsible for locating all Underground Facilities whether or not shown or indicated in the Contract Documents, for coordination of the WORK with the owners of such Underground Facilities during construction, for the safety and protection thereof as provided in paragraph 6.10, and repairing any damage thereto resulting from the WORK, the cost of all of which will be considered as having been included in the Contract Price.

4.3.1.5. All water pipes, sanitary sewers, storm drains, force mains, gas mains, or other pipe, telephone or power cables or conduits, pipe or conduit casings, curbs, sidewalks, service lines and all other obstructions, whether or not shown, shall be temporarily removed from or supported across utility line excavations. Where it is necessary to temporarily interrupt services, the CONTRACTOR shall notify the CITY or occupant of such facilities both 48 hours before the interruption and again immediately before service is resumed. Before disconnecting any pipes or cables, the CONTRACTOR shall obtain permission from the CITY and shall make suitable arrangements for the disconnection. The CONTRACTOR shall be responsible for any damage to any such pipes, conduits or cables, and shall restore them to service promptly, as part of the work, as soon as the WORK has progressed past the point involved. Approximate locations of known water, sanitary, drainage, natural gas, power, telephone and cable TV installations along the route of new pipelines or in the vicinity of new WORK are shown, but are to be verified in the field by the CONTRACTOR prior to performing the WORK. The CONTRACTOR shall uncover these pipes, ducts, cables, etc., carefully, prior to installing his WORK. Any discrepancies or differences found shall be immediately brought to the attention of the CITY in order that necessary changes may be made to permit installation of the WORK.

4.3.2. **Not Indicated:** If an Underground Facility is uncovered or revealed at or contiguous to the site which was not shown on the plan, nor located by the CITY and which CONTRACTOR could not reasonably have been expected to be aware of, CONTRACTOR shall, promptly after becoming aware thereof and before performing any WORK affected thereby (except in an emergency as permitted by paragraph 6.13), identify the CITY of such Underground Facility and give written notice thereof to that CITY. The CITY will promptly review the Underground Facility to determine the extent to which the Contract Documents should be modified to reflect and document the consequences of the existence of the Underground Facility, and the Contract Documents will be amended or supplemented to the extent necessary. During such time, CONTRACTOR shall be responsible for the safety and protection of such Underground Facility as provided in paragraph 6.12.

4.4. DIFFERING SITE CONDITIONS

4.4.1. The CONTRACTOR shall notify the CITY, in writing, of the following unforeseen conditions, hereinafter called differing Site conditions, promptly upon their discovery (but in no event later than 7 days after their discovery) and

before they are disturbed:

4.4.1.1. Subsurface or latent physical conditions at the Site of the WORK differing materially from those indicated, described, or delineated in the Contract Documents, including those reports discussed in Paragraph 4.2 and 4.3; and

4.2.3.2. Any unknown physical conditions and the Site of the WORK of an unusual nature differing materially from those ordinarily encountered and generally recognized as inherent in work of the character provided for in the Contract Documents, including those reports and documents discussed in Paragraph 4.2 and 4.3.

4.4.2. CITY will promptly review the pertinent conditions, determine the necessity of obtaining additional explorations or tests with respect thereto and advise the CITY in writing (with a copy to the CONTRACTOR) of CITY'S findings and conclusions.

4.4.3. If CITY concludes that because of newly discovered conditions a change in the Contract Documents is required, a Change Order will be issued as provided in Article 10 to reflect and document the consequences of the difference.

4.4.4. In each such case, an increase or decrease in the Contract Price or an extension or shortening of the Contract Time, or any combination thereof, will be allowable to the extent that they are attributable to any such inaccuracy or difference. If the CITY and CONTRACTOR are unable to agree as to the amount or length thereof, a claim may be made therefor as provided in Article 11 and 12.

4.4.5. The CONTRACTOR'S failure to give notice of differing Site conditions within 7 days of their discovery and before they are disturbed shall constitute a waiver of all claims in connection therewith, whether direct or consequential in nature.

4.5. REFERENCE POINTS:

4.5.1. The CITY shall provide, if available, engineering surveys to establish reference points for construction, which in CITY'S judgment are necessary to enable CONTRACTOR to proceed with the WORK.

4.5.2. CONTRACTOR shall be responsible for laying out the WORK (unless otherwise specified in the General Requirements), shall protect and preserve the established reference points and shall make no changes or relocations without the prior written approval of the CITY. The CONTRACTOR shall report to the CITY whenever any reference point is lost or destroyed or requires relocation because of necessary changes in grades or locations, and shall be responsible for the accurate replacement or relocation of such reference points by professionally qualified personnel.

ARTICLE 5 -- BONDS AND INSURANCE

5.1. BONDS:

5.1.1. CONTRACTOR shall upon delivery of the executed Contract or receipt of a Notice of Tentative Award to the CITY furnish Performance and Payment Bonds, each in an amount at least ONE HUNDRED PERCENT (100%) of the Contract Price as security for the faithful performance and payment of all CONTRACTOR'S obligations under the Contract Documents. Said bonds must be provided to the CITY within ten (10) business days of the Notice of Tentative

Award or delivery of a contract to CONTRACTOR to execute, or the CITY, at its sole discretion and option may terminate the contract. These Bonds shall remain in effect at least until one year after the date when final payment becomes due, except as otherwise provided by Law or Regulation or by the Contract Documents. CONTRACTOR shall also furnish such other Bonds as are required by the Supplementary Conditions. Each Bond shall be furnished in an amount equal to ONE HUNDRED PERCENT 100% of the amount of the Contract award. The form and conditions of the Bonds and the Surety shall be as specified and supplied by the CITY in the Bid Documents.

5.1.2 The CONTRACTOR shall provide a Maintenance and Guaranty Bond in the amount of 50% of the Performance and Payment Bonds to provide a guarantee against defects in the WORK occurring during the year following the one-year correction period. The Bond shall be payable to the CITY, and be at the sole cost of the CONTRACTOR. The form and conditions of the Bonds and the Surety shall be as specified and supplied by the CITY in the Bid Documents.

5.1.3. The Surety shall be a nationally recognized Surety Company acceptable to the CITY, listed on the current list of "Companies Holding Certificates of Authority as Acceptable Sureties on Federal Bonds and Acceptable Reinsuring Companies" as published in Circular 570 (amended) by the Audit Staff, Bureau of Government Financial Operations, U.S. Treasury Department, for projects not exceeding (\$500,000) five hundred thousand dollars and meet the other requirements of Florida Statutes Section 287.0935 (1989). For projects exceeding five hundred thousand dollars, all bonds shall be placed with sureties with a Best Rating of no less than A-IX. Bonds shall be executed and issued by a resident agent, licensed and having an office in Palm Beach, Dade, Broward or Martin Counties, Florida, representing such corporate sureties.

5.1.4. If the CONTRACTOR is a partnership, the Bond should be signed by each of the individuals who are partners; if a corporation, the Bond should be signed in the correct corporate name by duly authorized officer, agent or attorney-in-fact. There should be executed an appropriate number of counterparts of the bond corresponding to the number of counterparts in the Contract. Each executed bond should be accompanied by (a) appropriate acknowledgment of the respective parties; (b) appropriate duly certified copy of Power-of-Attorney or other certification of authority where bond is executed by agent, officer or other representative of CONTRACTOR or Surety; (c) duly certified extract from by-laws or resolutions of Surety under which Power-of-Attorney, or other certificate of Authority of its agent, officer or representative was issued.

5.1.5. If the surety on any Bond furnished by CONTRACTOR is declared bankrupt or becomes insolvent or its right to do business is terminated in the state of Florida or it ceases to meet the requirements of paragraph 5.1.2., CONTRACTOR shall within five days thereafter substitute another Bond and Surety, both of which must be in conformance with paragraph 5.1.2. Under no circumstances shall the successful CONTRACTOR begin WORK until he/she has supplied to the CITY Performance and Payment Bonds and Affidavit for Bond using the CITY form, and the CITY has approved the bond.

5.2. INSURANCE:

5.2.1. CONTRACTOR shall purchase and maintain the insurance required under this Paragraph. Such insurance shall include the specific coverages set out herein and be written for not less than the limits of liability and coverages provided herein. All insurance shall be maintained continuously during the life of the Contract up to the date of Substantial Completion and at all times thereafter when the CONTRACTOR may be correcting, removing, or replacing *Defective Work* in accordance with Paragraph 13.6. the CONTRACTOR'S liabilities under this Contract shall not be deemed limited in any way to the insurance coverage required.

5.2.2. All insurance required by the Contract Documents to be purchased and maintained by the CONTRACTOR shall be obtained from insurance companies that are duly licensed or authorized to issue insurance policies for the limits and coverages so required in the State of Florida. Such insurance companies shall have a current Best's Rating of at least an "A" (Excellent) general policy holder's rating and a Class VII financial size category and shall also meet such additional requirements and qualifications as may be provided in the Supplementary General Conditions.

5.2.3. Before starting the WORK, the CONTRACTOR shall furnish the CITY, with copies to each additional insured who is indicated in the Supplementary General Conditions, with certificates and original endorsements showing the type, amount, class of operations covered, effective dates and dates of expiration of policies. All of the policies of insurance so required to be purchased and maintained (or the certificates or other evidence thereof) shall contain a provision or endorsement that the coverage afforded will not be canceled, reduced in coverage, or renewal refused until at least 30 days' prior written notice has been given the CITY and additional insureds by certified mail. All such insurance required herein (except for worker's compensation and employer's liability) shall name the CITY, and CITY'S officers, directors, agents, and employees as "additional insureds" under the policies. The CONTRACTOR shall purchase and maintain the following insurance:

5.2.3.1. **Workers' Compensation and Employer's Liability:** Coverage to apply for all employees for Statutory Limits in compliance with the applicable State and Federal laws. CONTRACTOR shall require each SUB-CONTRACTOR similarly to maintain workers compensation during the term of the Contract and up to the date of final acceptance. CONTRACTOR shall defend, indemnify and save the CITY harmless from any damage resulting to them for failure of either CONTRACTOR or any SUB-CONTRACTOR to take out or maintain such insurance.

- a. Employers' Liability with Statutory Limits of \$100,000 per accident, \$100,000 per person, and \$500,000 policy aggregate.
- b. If any operations are to be undertaken on or about navigable waters, coverage must be included for the U.S. Longshoremen and Harbor Workers Act and/or Jones Act if applicable.

5.2.3.2. **Comprehensive or Commercial General Liability:** Coverage must be afforded on a form no more restrictive than the latest edition of the Comprehensive General Liability Policy or Commercial General Liability filed by the Insurance Services Office, and must include:

a. Minimum Limits of total coverage shall be \$2,000,000 per occurrence combined single limit for Bodily Injury Liability and Property Damage Liability, the basic policy to be in said form with any excess coverage (and the carrier) to meet \$2,000,000 minimum to be acceptable to the CITY.

5.2.3.3. **Business Auto Policy.** Coverage must be afforded on a form no more restrictive than the latest edition of the Business Auto Policy filed by the Insurance Service Office and must include:

a. Minimum limit of \$2,000,000 per occurrence combined single limit for Bodily Injury Liability and Property Damage Liability.

b. Owned Vehicles

c. Hired and Non-Owned Vehicles

d. Employee Non-Ownership

5.2.3.4. **SUB-CONTRACTOR's Public Liability and Property Damage Insurance and vehicle Liability Insurance:** The CONTRACTOR shall either require each of the Sub-CONTRACTORS to procure and to maintain SUB-CONTRACTOR's public liability and property damage insurance and vehicle liability insurance of the type and in the amount indicated above in Paragraph 5.2.3.1., 5.2.3.2. and 5.2.3.3.

5.2.3.5. **Products and/or Completed Operations:** CONTRACTOR shall maintain in force until at least three (3) years after completion of all services required under the Contract, coverage for products and completed operations, including Broad Form Property Damage.

5.2.3.6. **All Risk Property Insurance:** When Applicable, coverage must include real and personal property and in an amount equal to the replacement cost of all real and personal property of the CITY'S for which the CONTRACTOR is responsible and over which he exercises control. Builders Risk insurance must be provided to cover Property under construction and an Installation Floater must cover all machinery, vessels, air conditioners or electric generators to be installed. This insurance shall include a waiver of subrogation as to the CITY, the CONTRACTOR, and their respective officers, agents, employees, and SUB-CONTRACTORS.

- a. Coverage to be provided on a full replacement cost basis.
- b. Losses in excess of ten thousand dollars (\$10,000) shall be jointly payable to the CONTRACTOR and the CITY.
- c. Policy must be specifically endorsed to eliminate any "Occupancy Clause" or similar warranty or representation that the CITY will not occupy the building(s), addition(s) or structure(s).
- d. Maximum Deductible - \$5,000 each claim.
- e. Flood Insurance. When the buildings or structures are located within an identified special flood hazard area, flood insurance protecting the interest of the CONTRACTOR and the CITY must be afforded for the lesser of the total insurable value of such buildings or structures, or, the maximum amount of flood insurance

coverage available under the National Flood Program.

5.2.4. All policies shall also specify that the insurance provided by the CONTRACTOR will be considered primary and not contributory to any other insurance available to the CITY.

ARTICLE 6 -- CONTRACTOR'S RESPONSIBILITIES

6.1. SUPERVISION AND SUPERINTENDENCE:

6.1.1. The CONTRACTOR has the obligation to deliver to the CITY the completed job in a good and workmanlike condition. CONTRACTOR shall supervise and direct the WORK completely and efficiently, devoting such attention thereto and applying such skills and expertise as may be necessary to perform the WORK in accordance with the Contract Documents. CONTRACTOR shall be solely responsible for the means, methods, techniques, sequences and procedures of construction, but CONTRACTOR shall not be responsible for the negligence of others in the design or selection of a specific means, method, technique, sequence or procedure of construction which is indicated in and required by the Contract Documents. CONTRACTOR shall be responsible to see that the finished WORK complies accurately with the Contract Documents. The CONTRACTOR shall bear all losses resulting on account of the weather, fire, the elements, or other causes of every kind or nature prior to Final Acceptance. The supervision of the execution of this contract is vested wholly in the CONTRACTOR.

6.1.2. The superintendent will be CONTRACTOR'S representative at the site and shall have authority to act on behalf of CONTRACTOR. All communications given to the superintendent shall be as binding as if given to the CONTRACTOR.

6.2. LABOR, MATERIALS AND EQUIPMENT:

6.2.1. CONTRACTOR shall provide competent, suitably qualified personnel to survey, prepare the WORK and perform construction as required by the Contract Documents. CONTRACTOR shall at all times maintain good discipline and order at the site. Except in connection with the safety or protection of persons or the WORK or property at the site or adjacent thereto, and except as otherwise indicated in the Contract Documents, all WORK at the site shall be performed during regular working hours, and CONTRACTOR will not permit overtime WORK or the performance of WORK on Saturday, Sunday or any legal holiday without the CITY'S written consent (which shall not be unreasonably withheld) given after prior written notice to CITY. The CONTRACTOR is hereby informed, and understands that unless otherwise approved by the CITY, the CITY restricts the WORK between the hours of 5:00 p.m. and 7:00 a.m., unless emergency conditions exist that are endangering life or property as may be determined by the CITY. If the CONTRACTOR is authorized to operate equipment twenty-four (24) hours per day, the engines shall be provided with residential type silencers approved by the CITY. The CONTRACTOR shall receive no additional compensation for overtime WORK. However, additional compensation will be paid to the CONTRACTOR for overtime WORK only in the event extra WORK is ordered by the CITY and the change order specifically authorizes the use of overtime WORK and then only to such extent as overtime wages are regularly being paid by the CONTRACTOR for overtime WORK of a similar nature in the same locality. All costs of inspection and testing performed by the CITY during overtime WORK by the CONTRACTOR which is allowed solely for the

convenience of the CONTRACTOR shall be borne by the CONTRACTOR. The CITY shall have the authority to deduct the cost of all such inspection and testing from any partial payments otherwise due to the CONTRACTOR.

6.2.2. Unless otherwise specified in the General Requirements, CONTRACTOR shall furnish and assume full responsibility for all materials, equipment, labor, transportation, construction equipment and machinery, tools, appliances, fuel, power, light, heat, telephone, water, sanitary facilities, temporary facilities and all other facilities and incidentals necessary for the furnishing, performance, testing, start-up and final completion of the WORK.

6.2.3. All materials and equipment shall be of good quality and new, except as otherwise provided in the Contract Documents. If required by CITY, CONTRACTOR shall furnish satisfactory evidence (including reports of required tests) as to the kind and quality of materials and equipment. All materials and equipment shall be applied, installed, connected, erected, used, cleaned and conditioned in accordance with the instructions of the applicable Supplier except as otherwise provided in the Contract Documents; but no provision of any such instructions will be effective to assign to the CITY, or any of the CITY'S agents or employees, any duty or authority to supervise or direct the furnishing or performance of the WORK or any duty or authority to undertake responsibility contrary to the provisions of paragraph 9.10.3 or 9.10.4.

6.3. SCHEDULE:

6.3.1. CONTRACTOR shall submit to CITY for review and comment (to the extent indicated in paragraph 2.6.) proposed adjustments in the progress schedule to reflect the impact thereon of new developments; these will conform generally to the progress schedule then in effect and additionally will comply with any provisions of the General Requirements applicable thereto. All approved changes shall be memorialized as change orders.

6.4. SUBSTITUTES OR "OR-EQUAL" ITEMS:

6.4.1. The technical specifications shall govern the use of substitute or "or-equal" items. The procedure for review by CITY will include the following as supplemented in the technical specifications. Requests for review of substitute items of material and equipment will not be accepted by CITY from anyone other than CONTRACTOR. If CONTRACTOR wishes to furnish or use a substitute item of material or equipment, CONTRACTOR shall make written application to CITY for acceptance thereof, certifying that the proposed substitute will perform equally or better the functions and achieve the results called for by the general design, be similar and of equal substance to that specified and be suited to the same use as that specified. The application will state that the evaluation and acceptance of the proposed substitute will not prejudice CONTRACTOR'S achievement of Substantial Completion on time, whether or not acceptance of the substitute for use in the WORK will require a change in any of the Contract Documents (or in the provisions of any other direct contract with the CITY for WORK on the Project) to adapt the design to the proposed substitute and whether or not incorporation or use of the substitute in connection with

the WORK is subject to payment of any license fee or royalty. All variations of the proposed substitute from that specified will be identified in the application and available maintenance, repair and replacement service will be indicated. The application will also contain an itemized estimate of all costs and cost savings that will result directly or indirectly from acceptance of such substitute, including costs of redesign and claims of other CONTRACTORS affected by the resulting change, all of which shall be considered by CITY in evaluating the proposed substitute. CITY may require CONTRACTOR to furnish at CONTRACTOR'S expense additional data about the proposed substitute.

6.4.2. If a specific means, method, technique, sequence or procedure of construction is indicated in or required by the Contract Documents, CONTRACTOR may furnish or utilize a substitute means, method, sequence, technique or procedure of construction acceptable to CITY, if CONTRACTOR submits sufficient information to allow CITY to determine that the substitute proposed is equivalent to that indicated or required by the Contract Documents. The procedure for review by CITY will be similar to that provided in paragraph 6.4.1 as applied by CITY and as may be supplemented in the Technical Specifications.

6.4.3. CITY will be allowed a reasonable time within which to evaluate each proposed substitute. CITY will be the sole judge of acceptability, and no substitute will be ordered, installed or utilized without CITY'S prior written acceptance which will be evidenced by either a Change Order or an approved Shop Drawing. The CITY may require the CONTRACTOR to furnish at CONTRACTOR'S expense a special performance guarantee or other surety with respect to any substitute.

6.5. CONCERNING SUB-CONTRACTORS, SUPPLIERS AND OTHERS:

6.5.1. CONTRACTOR shall not employ any SUB-CONTRACTOR, Supplier or other person or organization (including those acceptable to the CITY as indicated in paragraph 6.5.2), whether initially or as a substitute, against whom the CITY may have reasonable objection. CONTRACTOR shall not be required to employ any SUB-CONTRACTOR, Supplier or other person or organization to furnish or perform any of the WORK against whom CONTRACTOR has reasonable objection.

6.5.2. If the Technical Specifications or Contract Documents require the identity of certain SUB-CONTRACTORS, Suppliers or other persons or organizations (including those who are to furnish the principal items of materials and equipment) shall be submitted to the CITY for acceptance by the CITY, and if CONTRACTOR has submitted a list thereof, the CITY'S acceptance (either in writing or by failing to make written objection thereto by the date indicated for acceptance or objection in the Bid documents or the Contract Documents) of any such SUB-CONTRACTOR, Supplier or other person or organization so identified may be revoked on the basis of reasonable objection after due investigation, in which case CONTRACTOR shall submit an acceptable substitute. If after bid opening and prior to the award of the contract, the CITY objects to certain suppliers or SUB- CONTRACTORS, the CITY may permit CONTRACTOR to submit an acceptable substitute so long as there is no change in the contract price or contract time. If the contract price or contract time is increased, the CITY may return the bid bond and award the contract to the next qualified, competent BIDDER. If after the award of the contract, the CITY objects to certain suppliers or SUB-CONTRACTORS, the CITY shall permit CONTRACTOR to make an appropriate and acceptable substitution which is also acceptable to the

CITY. No acceptance by the CITY of any such SUB-CONTRACTOR, supplier or other person or organization shall constitute a waiver of any right of the CITY to reject defective WORK.

6.5.3. CONTRACTOR shall be fully responsible to the CITY for all acts and omissions of the SUB-CONTRACTORS, Suppliers and other persons and organizations performing or furnishing any of the WORK under a direct or indirect contract with CONTRACTOR just as CONTRACTOR is responsible for CONTRACTOR'S own acts and omissions. Nothing in the Contract Documents shall create any contractual relationship between the CITY and any such SUB-CONTRACTOR, Supplier or other person or organization, nor shall it create any obligation on the part of the CITY to pay or to see to the payment of any moneys due any such SUB-CONTRACTOR, Supplier or other person or organization except as may otherwise be required by Laws and Regulations.

6.5.4. The divisions and sections of the Technical Specifications and the identifications of any Drawings shall not control CONTRACTOR in dividing the WORK among SUB-CONTRACTORS or Suppliers or delineating the WORK to be performed by any specific trade.

6.5.5. All WORK performed for CONTRACTOR by a SUB-CONTRACTOR will be pursuant to an appropriate agreement between CONTRACTOR and the SUB-CONTRACTOR which specifically binds the SUB-CONTRACTOR to the applicable terms and conditions of the Contract Documents for the benefit of the CITY.

6.6. PATENT FEES AND ROYALTIES:

6.6.1. CONTRACTOR shall pay all license fees and royalties and assume all costs incident to the use in the performance of WORK or the incorporation in the WORK of any invention, design, process, product or device which is the subject of patent rights or copyrights held by others. If a particular invention, design, process, product or device is specified in the Contract Documents for use in the performance of the WORK and if to the actual knowledge of the CITY its use is subject to patent rights or copyrights calling for the payment of any license fee or royalty to other, the existence of such rights shall be disclosed by the CITY in the Contract Documents. CONTRACTOR shall indemnify and hold harmless the CITY and anyone directly or indirectly employed by the CITY from and against all claims, damages, losses and expenses (including attorney's fees and court costs) arising out of any infringement of patent rights or copyrights incident to the use in the performance of the WORK or resulting from the incorporation in the WORK of any invention, design, process, product or device not specified in the Contract Documents, and shall defend all such claims in connection with any alleged infringement of such rights.

6.7. PERMITS:

6.7.1. CONTRACTOR shall obtain and pay for all construction permits and licenses without limitation as required by Laws or Regulations. The CITY shall assist CONTRACTOR, when necessary, in obtaining such permits and licenses. CONTRACTOR shall pay all governmental charges and inspection fees necessary for prosecution of the WORK, which are applicable at the time of opening of Bids. There will be no cost for permits issued by the CITY. CONTRACTOR shall pay all charges for utility connections to the WORK.

6.8. LAWS AND REGULATIONS:

6.8.1. CONTRACTOR shall give all notices and comply with all laws, ordinances, rules and regulations applicable to furnishing and performance of the WORK. Except where otherwise expressly required by applicable laws, ordinances, rules and regulations, the CITY shall not be responsible for monitoring CONTRACTOR'S compliance with any Laws, ordinances, rules or regulations.

6.8.2. If CONTRACTOR observes that the Specifications or Drawings are at variance with any laws, ordinances, rules or regulations, CONTRACTOR shall give CITY prompt, written notice thereof, and any necessary changes will be authorized by one of the methods indicated in Paragraph 3.5. If CONTRACTOR performs any WORK knowing or having reason to know that it is contrary to such laws, ordinances, rules or regulations, and without such notice to the CITY, CONTRACTOR shall bear all costs arising there from; however, it shall not be CONTRACTOR'S primary responsibility to make certain that the Specifications and Drawings are in accordance with such laws, ordinances, rules and regulations unless they are at variance with construction practices recognized as industry standards.

6.9. TAXES:

6.9.1. CONTRACTOR shall pay all sales, consumer, use and other similar taxes required to be paid by CONTRACTOR in accordance with the laws, ordinances and regulations of the place of the Project which are applicable during the performance of the WORK.

6.10. USE OF PREMISES:

6.10.1. CONTRACTOR shall confine construction equipment, the storage of materials and equipment and the operations of workers to the project site and land and areas identified in and permitted by the Contract Documents and other land and areas permitted by laws, ordinances, and regulations, rights-of-way, permits and easements, and shall not reasonably encumber the premises with construction equipment or other materials or equipment. CONTRACTOR shall assume full responsibility for any damage to any such land or area, or to the CITY or occupant thereof or of any land or areas contiguous thereto, resulting from the performance of the WORK. Should any claim be made against the CITY by any such CITY or occupant because of the performance of the WORK, CONTRACTOR shall promptly attempt to settle with such other party by Contract or otherwise resolve the claim. CONTRACTOR shall, to the fullest extent permitted by laws and regulations, indemnify and hold the CITY harmless from and against all claims, damages, losses and expenses (including, but not limited to, fees of engineers, architects, attorneys and other professionals and court costs) arising directly, indirectly or consequentially out of any action, legal or equitable, brought by any such other party against the CITY to the extent based on a claim arising out of CONTRACTOR'S performance of the WORK.

6.10.2. During the progress of the WORK, CONTRACTOR shall keep the premises free from accumulations of waste materials, rubbish and other and other debris resulting from the WORK. At the completion of the WORK CONTRACTOR shall remove all waste materials, rubbish and debris from and about the premises as well as all tools, appliances, construction equipment and machinery, and surplus materials, and shall leave the site clean and ready for occupancy by the CITY. CONTRACTOR shall restore to original condition all property not designated for alteration by the Contract Documents.

6.10.3. CONTRACTOR shall not load nor permit any part of any structure to be loaded in any manner that will endanger the structure, nor shall CONTRACTOR subject any part of the WORK or adjacent property to stresses or pressures that will endanger it.

6.11. RECORD DOCUMENTS:

6.11.1. CONTRACTOR shall maintain in accordance with the Technical Specifications in a safe place at the site one record copy of all Drawings, Specifications, Addenda, Written Amendments, Change Orders, Work Change Directives, Field Orders, and written interpretations and clarifications (issued pursuant to paragraph 9.4) in good order and annotated to show all changes made during construction. The record documents together with all approved samples and a counterpart of all approved Shop Drawings will be available to the CITY for reference. Upon completion of the WORK, these record documents, samples, and Shop Drawings will be delivered to the CITY.

6.12. SAFETY AND PROTECTION:

6.12.1. CONTRACTOR shall be responsible for initiating, maintaining and supervising all safety precautions and programs in connection with the WORK. CONTRACTOR shall take all necessary precautions for the safety of, and shall provide the necessary protection to prevent damage, injury or loss to:

6.12.1.1. all employees on the WORK and other persons and organizations who may be affected thereby;

6.12.1.2. all the WORK and materials and equipment to be incorporated therein, whether in storage on or off the site; and

6.12.1.3. other property at the site or adjacent thereto, including trees, shrubs, lawns, walks, pavements, roadways, structures, utilities and Underground Facilities not designated for removal, relocation or replacement in the course of construction.

6.12.2. CONTRACTOR shall comply with all applicable laws, ordinances, rules and regulations of any public body having jurisdiction for the safety of persons or property or to protect them from damage, injury or loss on or off the WORK and shall erect and maintain all necessary safeguards for such safety and protection. CONTRACTOR shall notify owners of adjacent property and of Underground Facilities and utility owners when prosecution of the WORK may affect them, and shall cooperate with them in the protection, removal, relocation and replacement of their property. All damage, injury or loss to any property referred to in paragraph 6.12.1.2. or 6.12.1.3 caused, directly or indirectly, in whole or in part, by CONTRACTOR, any SUB-CONTRACTOR,

Supplier or any other person or organization directly or indirectly employed by any of them to perform or furnish any of the WORK for anyone for whose acts any of them may be liable, shall be remedied by CONTRACTOR (except damage or loss attributable to the fault of Drawings or Specifications or to the acts or omissions of the CITY or anyone employed by either of them or anyone for whose acts either of them may be liable, and not attributable, directly or indirectly, in whole or in part, to the fault or negligence of CONTRACTOR). CONTRACTOR'S duties and responsibilities for the safety and protection of the WORK shall continue until such time as all the WORK is completed and CITY has issued a notice to the CITY and CONTRACTOR in accordance with paragraph 14.6. that the WORK is acceptable (except as otherwise expressly provided in connection with Substantial Completion).

6.12.3. The safety provisions of applicable laws and building and construction codes shall be observed and the CONTRACTOR shall take or cause to be taken such additional safety and health measures as the Local Public Agency involved may determine to be reasonably necessary. Machinery, equipment and all hazards shall be guarded in accordance with the safety provisions of the "Manual of Accident Prevention in Construction" as published by the Associated General CONTRACTORS of America, Inc., to the extent that such provisions are not in conflict with applicable laws.

6.12.4. The CONTRACTOR shall maintain an accurate record of all cases of death, occupational disease, or injury requiring medical attention or causing loss of time from WORK, arising out of an accident in the course of employment on WORK under the Contract. The CONTRACTOR shall promptly furnish the Local Public Agency with reports concerning these matters.

6.12.5. Safety Representative: CONTRACTOR shall designate a responsible representative at the site whose duty shall be the prevention of accidents. This person shall be CONTRACTOR'S superintendent unless otherwise designated in writing by CONTRACTOR to the CITY.

6.12.6. Hazard Communication Programs: CONTRACTOR shall be responsible for coordinating any exchange of material safety data sheets or other hazard communication information required to be made available to or exchanged between or among employees at the Site in accordance with Laws and Regulations.

6.13. EMERGENCIES AND PRECAUTIONS DURING ADVERSE WEATHER:

6.13.1. In emergencies affecting the safety or protection of persons or the WORK or property at the site or adjacent thereto, CONTRACTOR, without special instruction or authorization from CITY, is obligated to act to prevent threatened damage, injury or loss. CONTRACTOR shall give CITY prompt written notice if CONTRACTOR believes that any significant changes in the WORK or variations from the Contract Documents have been caused thereby. If CITY determines that a change in the Contract Documents is required because of the action taken in response to an emergency, or Change Order will be issued to document the consequences of the changes or variations.

6.13.2. During adverse weather, and against the possibility thereof, the CONTRACTOR shall take all

necessary precautions to ensure that the WORK shall be done in a good and workmanlike condition and is satisfactory in all respects. When required, protection shall be provided by the use of tarpaulins, wood and building paper shelters, or other acceptable means. The CONTRACTOR shall be responsible for all changes caused by adverse weather, including unusually high winds and water levels and he shall take such precautions and procure such additional insurance as he deems prudent. The CITY may suspend construction operations at any time when, in his judgment, the conditions are unsuitable or the proper precautions are not being taken, whatever the weather or water level conditions may be, in any season.

6.14. SUBMITTALS: SHOP DRAWINGS AND SAMPLES:

6.14.1. After checking and verifying all field measurements and after complying with applicable procedures specified in the General Requirements, CONTRACTOR shall submit to CITY for review in accordance with the accepted schedule of Shop Drawing submissions (see paragraph 2.5.2.), ordinances, rules and all Shop Drawings which will bear the stamp that CONTRACTOR has satisfied CONTRACTOR'S responsibilities under the Contract Documents with respect to the review of the submission. All submissions will be identified as CITY may require. The data shown on the Shop Drawings will be complete with respect to quantities, dimensions, specified performance and design criteria, materials and similar data to enable CITY to review the information as required.

6.14.2. CONTRACTOR shall also submit to CITY for review and approval with such promptness as to cause no delay in WORK, all samples required by the Contract Documents. All samples will have been checked by and accompanied by a specific written indication that CONTRACTOR has satisfied CONTRACTOR'S responsibilities under the Contract Documents with respect to the review of the submission and will be identified clearly as to material, Supplier, pertinent data such as catalog numbers and the use for which intended. Please note – samples may not be returned by CITY. Samples are to be supplied at no expense to the CITY and CONTRACTOR is hereby put on notice that said samples may not be returned.

6.14.3. Before submission of each Shop Drawing or sample CONTRACTOR shall have determined and verified all quantities, dimensions, specified performance criteria, installation requirements, materials, catalog numbers and similar data with respect thereto and reviewed or coordinated each Shop Drawing or sample with other Shop Drawings and samples and with the requirements of the WORK and the Contract Documents.

6.14.4. At the time of each submission, CONTRACTOR shall give CITY specific written notice of each variation that the Shop Drawings or samples may have from the requirements of the Contract Documents, and, in addition shall cause a specific notation to be made on each Shop Drawing submitted to CITY for review and approval of each such variation.

6.14.5. CITY will review within ten days of receipt thereof, Shop Drawings and samples but CITY'S review will be only for conformance with the design concept of the Project and for compliance with the information given in the Contract Documents and shall not extend to means, methods, techniques, sequences or

procedures of construction (except where a specific means, method, technique, sequence or procedure of construction is indicated in or required by the Contract Documents) or to safety precautions or programs incident thereto. The review of a separate item as such will not indicate review of the assembly in which the item functions. CONTRACTOR shall make corrections required by CITY, and shall return the required number of corrected copies of Shop Drawings and submit as required new samples for review. CONTRACTOR shall direct specific attention in writing to revisions other than the corrections called for by CITY on previous submittals. CITY will review one (1) re-submittal for each shop drawing or product data. All costs of reviewing additional submittals shall be at the CONTRACTOR'S expense.

6.14.6. CITY'S review of Shop Drawings or samples shall not relieve CONTRACTOR from responsibility for any variation from the requirements of the Contract Documents unless CONTRACTOR has in writing called CITY'S attention to each such variation at the time of submission as required by paragraph 6.14.4 and CITY has given written approval of each such variation by a specific written notation thereof incorporated in or accompanying the Shop Drawing or sample approval; nor will any review by CITY relieve CONTRACTOR from responsibility for errors or omissions in the Shop Drawings or from responsibility for having complied with the provisions of paragraph 6.14.3.

6.14.7. Where a Shop Drawing or sample is required by the Specifications, any related WORK performed prior to CITY'S review and acceptance of the pertinent submission will be the sole expense and responsibility of CONTRACTOR.

6.15. CONTINUING THE WORK:

6.15.1. CONTRACTOR shall carry on the WORK and adhere to the progress schedule during all disputes or disagreements with the CITY. No WORK shall be delayed or postponed pending resolution of any disputes or disagreements, except as permitted by Article 15 or as CONTRACTOR and the CITY may otherwise agree in writing.

6.16. CONTRACTOR'S GENERAL WARRANTY AND GUARANTEE:

6.16.1. CONTRACTOR warrants and guarantees to CITY that all work will be in accordance with the Contract Documents and will not be *defective*. CONTRACTOR's warranty and guarantee hereunder excludes defects or damage caused by:

6.16.1.1. Abuse, modification or improper maintenance or operation by persons other than CONTRACTOR, SUB-CONTRACTORS or Suppliers; or

6.16.1.2. Normal wear and tear under normal usage.

6.16.2. CONTRACTOR's obligation to perform and complete the WORK in accordance with the Contract Documents shall be absolute. None of the following will constitute an acceptance of WORK that is not in accordance with the Contract Documents or a release of CONTRACTOR's obligation to perform the WORK in accordance with the Contract Documents:

6.16.2.1. observations by CITY;

6.16.2.2. recommendation of any progress or final payment by CITY;

6.16.2.3. the issuance of a certificate of Substantial Completion or any payment by CITY to CONTRACTOR under the Contract Documents;

6.16.2.4. use or occupancy of the WORK or any part thereof by CITY;

6.16.2.5. any acceptance by CITY or any failure to do so;

6.16.2.6. any review and approval of a Shop Drawing or Sample submittal or the issuance of a notice of acceptability by CITY pursuant to paragraph 14.10;

6.16.2.7. Any inspection, test or approval by others; or

6.16.2.8. Any correction of *defective* WORK by CITY.

6.17. INDEMNIFICATION:

6.17.1. In consideration of ten dollars (\$10.00) and other valuable consideration, the CONTRACTOR shall defend, indemnify and save harmless the CITY, its officers, agents and employees, from or on account of any claims, losses, injuries or damages, received or sustained by any person or persons during or on account of any operations connected with the construction of this Project; or by or in consequence of any negligence (excluding the sole negligence of the CITY), in connection with the same; or by use of any improper materials or by or on account of any use of any improper materials or by or on account of any act or omission of the said CONTRACTOR or his SUB-CONTRACTORS, agents, servants or employees. CONTRACTOR agrees to defend, indemnify and save harmless the CITY, its officers, agents and employees, against any liability arising from or based upon the violation of any Federal, State, County or CITY laws, by-laws, ordinances or regulations by the CONTRACTOR, his SUB-CONTRACTORS, agents, servants or employees.

6.17.2. CONTRACTOR further agrees to defend, indemnify and save harmless the CITY from all such claims and fees, and from any and all suits and actions of every name and description that may be brought against the CITY on account of any claims, fees, royalties, or costs for any invention or patent, and from any and all suits and actions that may be brought against the CITY for the infringement of any and all patents or patent rights claimed by any person, firm, or corporation.

6.17.3. The indemnification provided above shall obligate the CONTRACTOR to defend at his own expense or to pay for such defense, at the CITY'S option, any and all claims or liability and all suits and actions of every name and description that may be brought against the CITY which may result from the operations and activities under this Contract whether the construction operations be performed by the CONTRACTOR, his SUB-CONTRACTOR or by anyone directly or indirectly employed by either.

6.17.4. This indemnification includes all costs and fees including attorney's fees and costs at trial and appellate levels. The CITY will pay to the CONTRACTOR the specific

consideration of ten dollars and other good and valuable consideration as specific consideration for the indemnification provided herein and in accordance with the provisions of Section 725.06 of the Florida Statutes. Furthermore, the CONTRACTOR acknowledges that the bid price includes said consideration for the indemnification provision.

ARTICLE 7 -- OTHER WORK

7.1. RELATED WORK AT SITE:

7.1.1. The CITY may perform other WORK related to the Project at the site by the CITY'S own forces, let other direct contracts therefor which shall contain General Conditions similar to these. If the fact that such other WORK is to be performed was not noted in the Contract Documents, written notice thereof will be given to CONTRACTOR prior to starting any such other WORK; and, if CONTRACTOR believes that such performance will involve additional time and the parties are unable to agree as to the extent thereof, CONTRACTOR may make a claim therefor as provided in Articles 11 and 12. If the performance of additional WORK by other CONTRACTOR or the CITY is noted in the Contract Documents, no additional adjustment of time or compensation shall be considered.

7.1.2. CONTRACTOR shall afford the CITY and other CONTRACTORS who are a party to such a direct contract (or the CITY, if the CITY is performing the additional WORK with the CITY'S employees) proper and safe access to the site and a reasonable opportunity for the introduction and storage of materials and equipment and the execution of such WORK, and shall properly connect and coordinate the WORK with theirs. CONTRACTOR shall do all cutting, fitting and patching of the WORK that may be required to make its several parts come together properly and integrate with such other WORK. CONTRACTOR shall not endanger any WORK of others by cutting, excavating or otherwise altering their WORK and will only cut or alter their WORK with the written consent of the CITY and the others whose WORK will be affected. The duties and responsibilities of CONTRACTOR under this paragraph are for the benefit of the CITY and other CONTRACTORS to the extent that there are comparable provisions for the benefit of CONTRACTOR in said direct contracts between the CITY and other CONTRACTORS.

7.1.3. If any part of CONTRACTOR'S WORK depends for proper execution or results upon the WORK of any such other CONTRACTOR other than CONTRACTOR'S OWN SUB-CONTRACTOR, (or the CITY), CONTRACTOR shall inspect and promptly report to CITY in writing any delays, defects or deficiencies in such other WORK that render it unavailable or unsuitable for such proper execution and results of CONTRACTOR'S WORK. CONTRACTOR'S failure to report will constitute an acceptance of the other WORK as fit and proper for integration with CONTRACTOR'S WORK except for latent defects and deficiencies in the other WORK.

7.2. COORDINATION:

7.2.1. If the CITY contracts with others for the performance of other WORK on the Project at the site, the person or organization who will have authority and responsibility for coordination of the activities among the various prime CONTRACTORS will be identified in the Technical Specifications and the specific matters to be covered by such authority and responsibility will be itemized, and the

extent of such authority and responsibilities will be provided in the Technical Specifications. Unless otherwise provided in the Technical Specifications, the CITY shall not have any authority or responsibility in respect of such coordination.

ARTICLE 8 -- THE CITY'S RESPONSIBILITIES

COMMUNICATIONS TO CONTRACTOR:

8.1.1. CITY shall issue all communications to CONTRACTOR through CITY'S Project Manager.

8.2. FURNISH DATA:

8.2.1. CITY shall promptly furnish the data required of the CITY under the Contract Documents.

8.3. PAYMENTS:

8.3.1. CITY shall make payments to CONTRACTOR promptly when they are due as provided in Sections 14.5 and 14.10.

8.4. LANDS, EASEMENTS: REPORTS AND TESTS:

8.4.1. The CITY'S duties in respect of providing lands and easements and providing engineering surveys, if available, to establish reference points are set forth in paragraphs 4.1.1 and 4.5.1.

8.4.2. The CITY will identify and make available to CONTRACTOR copies of reports of physical conditions at the Site and drawings of existing structures that have been utilized in preparing the Contract Documents as set forth in Paragraph 4.22 and 4.2.3.

8.5. CHANGE ORDERS

8.5.1. The CITY is obligated to execute Change Orders as indicated in Article 10.

8.6. SUSPENSION OF WORK

8.6.1. In connection with the CITY'S right to stop WORK or suspend WORK see paragraph 13.5 and 15.1. Paragraph 15.2 deals with the CITY'S right to terminate services of CONTRACTOR.

ARTICLE 9 -- CITY'S STATUS DURING CONSTRUCTION:

9.1. CITY'S REPRESENTATIVE:

9.1.1. The City's Project Manager will be the CITY'S representative during the construction period. The duties and responsibilities and the limitations of authority of CITY'S representative during construction are set forth in the Contract Documents and shall not be extended without written consent of the CITY.

9.2. VISITS TO SITE:

9.2.1. After written notice to proceed with the WORK, the CITY shall make visits to the site at intervals

appropriate to the various stages of construction to observe the progress and quality of the executed WORK and to determine, in general, if the WORK is proceeding in accordance with the Contract Documents; he will not be responsible for the construction means, methods, procedures, techniques and sequences of construction and he will not be responsible for the CONTRACTOR'S failure to perform the construction WORK in accordance with the Contract Documents; he will not be responsible for safety precautions and procedures in connection with the WORK; and during such visits and on the basis of his on-site observations, as an experienced and qualified engineering professional, he will keep the CITY informed of the progress of the WORK, will endeavor to guard the CITY against defects and deficiencies in the WORK of the CONTRACTOR and may reject WORK as failing to conform to the Contract Documents.

9.3. PROJECT REPRESENTATION:

9.3.1. A Resident Project Representative may be assigned to assist CITY in carrying out his responsibilities to CITY at the site. Resident Project Representative is CITY'S agent at site, will act as directed by and under the supervision of CITY, and will confer with CITY regarding Resident Representative's actions. Resident Project Representative's dealing in matters pertaining to the on-site WORK shall in general be with CITY and CONTRACTOR keeping the CITY advised as necessary. Resident Project Representative's dealings with SUB-CONTRACTORS shall only be through or with the full knowledge and approval of CONTRACTOR. Resident Project Representative shall generally communicate with the CITY.

9.3.2. Resident Project Representative shall where applicable:

9.3.2.1. Review the progress schedule, schedule of Shop Drawing submittals and schedule of values prepared by CONTRACTOR and consult with CITY concerning its general acceptability.

9.3.2.2. Attend meetings with CONTRACTOR, such as preconstruction conferences, progress meetings, job conferences and other project-related meetings, and prepare and circulate copies of minutes thereof.

9.3.2.3. Working principally through CONTRACTOR'S superintendent, assist CITY in serving as the CITY's liaison with CONTRACTOR, when CONTRACTOR'S operations affect the CITY's on-site operations.

9.3.2.4. Assist in obtaining from the CITY additional details or information, when required for proper execution of the WORK.

9.3.2.5. Record date of receipt of Shop Drawings and samples.

9.3.2.6. Receive samples which are furnished at the site by CONTRACTOR, and notify the CITY of availability of samples for examination.

9.3.2.7. Advise the CITY and CONTRACTOR of the commencement of any WORK requiring a Shop Drawing if the submittal has not been approved by the CITY.

9.3.2.8. Conduct on-site observations of the WORK in progress to assist the CITY in determining if the WORK is, in general, proceeding in accordance with the Contract Documents.

9.3.2.9. Report to the CITY whenever Residential Project Representative believes that any WORK is unsatisfactory, faulty or *defective* or does not conform to the Contract Documents, or has been damaged, or does not meet the requirements of any inspection, test or approval required to be made; and advise the CITY of WORK that Resident Project Representative believes should be uncovered for observation, or requires special testing, inspection or approval. Nothing herein shall relieve the CONTRACTOR or the CITY from the duties imposed by contract.

9.3.2.10. Verify that tests, equipment and systems startups, and operating and maintenance training are conducted in the presence of appropriate personnel, and that CONTRACTOR maintains adequate records thereof; and observe, record and report to the CITY appropriate details relative to the test procedures and startups.

9.3.2.11. Accompany visiting inspectors representing public or other agencies having jurisdiction over the Project, record the results of these inspections and report to the CITY.

9.3.2.12. Report to CITY when clarifications and interpretations of the Contract Documents are needed and transmit to CONTRACTOR clarifications and interpretations as issued by the CITY.

9.3.2.13. Consider and evaluate CONTRACTOR'S suggestions for modifications in Drawings or Specifications and report with Resident Project Representative's recommendations to the CITY. Transmit to CONTRACTOR decisions as issued by the CITY.

9.3.2.14. Maintain at the job site orderly files for correspondence, reports of job conferences, Shop Drawings and samples, reproductions of original Contract Documents including all Work Change Directives, Addenda, Change Orders, Field Orders, additional Drawings issued subsequent to the execution of the Contract, CITY'S clarifications and interpretations of the Contract Documents, progress reports, and other Project related documents.

9.3.2.15. Keep a diary or log book, recording CONTRACTOR hours on the job site, weather conditions, data relative to questions of Work Change Directives, Change Orders or changed conditions, list of job site visitors, daily activities, decisions, observations in general, and specific observations in more detail as in the case of observing test procedures; and send copies to the CITY.

9.3.2.16. Record all names, addresses and telephone numbers of the CONTRACTOR, all SUB-CONTRACTORS and major suppliers of material and equipment.

9.3.2.17. Furnish the CITY periodic reports as required of progress of the WORK of the CONTRACTOR'S compliance with the progress schedule and schedule of Shop Drawing and sample submittals.

9.3.2.18. Consult with the CITY in advance of schedule major tests, inspections or start of important phases of the WORK.

9.3.2.19. Draft proposed Change Orders and Work Change Directives, obtaining backup material from CONTRACTOR and recommend to the CITY, Change Orders, Work Change Directives, and Field Orders.

9.3.2.20. Report immediately to the CITY upon the occurrence of any accident.

9.3.2.21. Review applications for payment with CONTRACTOR for compliance with the established procedure for their submission and forward with recommendations to the CITY, noting particularly the relationship of the payment requested to the schedule of values, WORK completed and materials and equipment delivered at the site but not incorporated in the WORK.

9.3.2.22. During the course of the WORK, verify that certificates, maintenance and operation manuals and other data required to be assembled and furnished by CONTRACTOR are applicable to the items actually installed and in accordance with the Contract Documents, and have this material delivered to the CITY for review and forwarding to CITY prior to final payment for the WORK.

9.3.2.23. Before the CITY issues a Certificate of Substantial Completion, submit to CONTRACTOR a list of observed items requiring completion or correction.

9.3.2.24. Conduct final inspection in the company of the CITY and the CONTRACTOR and prepare a final list of items to be completed or corrected.

9.3.2.25. Observe that all items on final list have been completed or corrected and make recommendations to the CITY concerning acceptance.

9.3.3. The Resident Project Representative shall not:

9.3.3.1. Authorize any deviation from the Contract Documents or substitution of materials or equipment.

9.3.3.2. Exceed limitations of the CITY'S authority as set forth in the Contract Documents.

9.3.3.3. Undertake any of the responsibilities of CONTRACTOR, SUB-CONTRACTORS, or CONTRACTOR'S superintendent.

9.3.3.4. Advise on, issue directions relative to or assume control over any aspect of the means, methods, techniques, sequences or procedures of construction unless such advice or directions are specifically required by the Contract Documents.

9.3.3.5. Advise on, issue directions regarding or assume control over safety precautions and programs in connection with the WORK.

9.3.3.6. Accept Shop Drawing or sample submittals from anyone other than CONTRACTOR.

9.3.3.7. Authorize the CITY to occupy the Project in whole or in part.

9.3.3.8. Participate in specialized field or laboratory tests or inspections conducted by others except as specifically authorized by the CITY.

9.4. CLARIFICATIONS AND INTERPRETATIONS:

9.4.1. The CITY will issue with reasonable promptness such written clarifications or interpretations of the requirements of the Contract Documents (in the form of Drawings or otherwise) as the CITY may determine necessary, which shall be consistent with or reasonably inferable from the overall intent of the Contract Documents. If CONTRACTOR believes that a written clarification of interpretation justifies an increase in the Contract Price or an extension of the Contract Time and the parties are unable to agree to the amount or extent thereof, CONTRACTOR may make a claim therefor as provided in Article 11 or Article 12.

9.5. AUTHORIZED VARIATIONS OF WORK:

9.5.1. CITY may authorize variations in the WORK from the requirements of the Contract Documents which do not involve an adjustment in the Contract Price or the Contract Time and are consistent with the overall intent of the Contract Documents. These may be accomplished by a field Order and will be binding on the CITY, and also on CONTRACTOR who shall perform the WORK involved promptly. If CONTRACTOR believes that a Field Order justifies an increase in the Contract Price or an extension of the Contract Time and the parties are unable to agree as to the amount or extent thereof, CONTRACTOR may make a claim therefor as provided in Article 11 and 12.

9.6. REJECTING DEFECTIVE WORK

9.6.1. The CITY will have authority to disapprove or reject WORK which CITY believes to be *defective* or believes to be in nonconformance with the intent of the contract documents, and will also have authority to require special inspection or testing of the WORK as provided in Section 13.3, whether or not the WORK is fabricated, installed or completed.

9.7. SHOP DRAWINGS, CHANGE ORDERS AND PAYMENTS:

9.7.1. In connection with CITY'S responsibility for Shop Drawings and samples, see Sections 6.11 and 6.14.

9.7.2. In connection with CITY'S responsibilities as to Change Orders see Article 10, 11, and 12.

9.7.3. In connection with CITY'S responsibilities in respect of Applications for Payment, etc., see Article 14.

9.8. DETERMINATIONS FOR UNIT PRICES:

9.8.1. CITY will verify the actual quantities and classifications of Unit Price WORK performed by CONTRACTOR. CITY will review with CONTRACTOR CITY'S preliminary determinations on such matters before rendering a written decision thereon (by recommendation of an Application for Payment or otherwise). CITY'S written decisions thereon will be final and binding upon the CITY or CONTRACTOR unless, within ten days after the date of any such decision, either the CITY or CONTRACTOR delivers to the other party

to the Contract and to CITY written notice of intention to appeal from such a decision.

9.9. DECISIONS ON DISPUTES:

9.9.1. The CITY will be the initial interpreter of the requirements of the Contract Documents and judge of the acceptability of the WORK thereunder. Claims, disputes and other matters relating to the acceptability of the WORK or the interpretation of the requirements of the Contract Documents pertaining to the performance and furnishing of the WORK and claims under Article 11 and 12 in respect of changes in the Contract Price or Contract Time will be referred initially to CITY in writing with a request for a formal decision in accordance with this paragraph, which CITY will render in writing within a reasonable time. Written notice of each such claim, dispute and other matter will be delivered by the claimant to CITY and the other party to the Contract promptly (but in no event later than thirty (30) days) after the start of the occurrence or event giving rise thereto, and written supporting data will be submitted to CITY and the other party within thirty (30) days after such occurrence unless CITY allows an additional period of time to ascertain more accurate data in support of such claim, dispute or other matter.

9.9.2. The opposing party shall submit any response to CITY and the claimant within thirty (30) days after receipt of the claimant's last submittal (unless CITY allows additional time). CITY will render a formal decision in writing within thirty days after receipt of the opposing party's submittal, if any, in accordance with this paragraph. CITY's written decision on such claim, dispute or other matter will be final and binding upon CITY and CONTRACTOR unless: (i) an appeal from CITY's decision is taken within the time limits and in accordance with the procedures set forth in EXHIBIT GC-A, "Dispute Resolution Agreement," entered into between CITY and CONTRACTOR pursuant to Article 16, or (ii) if no such Dispute Resolution Agreement has been entered into, a written notice of intention to appeal from

CITY's written decision is delivered by CITY or CONTRACTOR to the other and to CITY within thirty (30) days after the date of such decision and a formal proceeding is instituted by the appealing party in a forum of competent jurisdiction to exercise such rights or remedies as the appealing party may have with respect to such claim, dispute or other matter in accordance with applicable Laws and Regulations within sixty (60) days of the date of such decision, unless otherwise agreed in writing by CITY and CONTRACTOR.

9.9.3 When functioning as interpreter and judge under paragraphs 9.8.1, 9.9.1 and 9.9.2, CITY will not show partiality to CITY or CONTRACTOR and will not be liable in connection with any interpretation or decision rendered in good faith in such capacity. The rendering of a decision by CITY pursuant to paragraphs 9.8.1, 9.9.1 and 9.9.2 with respect to any such claim, dispute or other matter (except any which have been waived by the making or acceptance of final payment as provided in paragraph 14.11.) will be a condition precedent to any exercise by CITY or CONTRACTOR of such rights or remedies as either may otherwise have under the Contract Documents or by Laws or Regulations in respect of any such claim, dispute or other matter pursuant to Article 16.

9.10. LIMITATIONS ON CITY:

9.10.1. Neither CITY'S authority to act under this Article 9 or elsewhere in the Contract Documents nor any decision made by CITY either to exercise or not exercise such authority shall give rise to any duty or responsibility of CITY to CONTRACTOR, any SUB-CONTRACTOR, any Supplier, or any other person or organization performing any of the WORK, or to any surety for any of them.

9.10.2. Whenever in the Contract Documents the term "as ordered", "as directed", "as required", "as allowed", "as approved" or terms of like effect or import are used, or the adjectives "reasonable", "suitable", "acceptable", "proper", or "satisfactory" or adjectives of the like effect or import are used to describe a requirement, direction, review or judgment of CITY as to the WORK, it is intended that such requirement, direction, review or judgment will be solely to evaluate the WORK for compliance with the Contract Documents (unless there is a specific statement indicating otherwise). The use of any such term or adjective shall not be effective to assign to CITY any duty or authority to supervise or direct the furnishing or performance of the WORK or any duty or authority to undertake responsibility contrary to the provisions of paragraph 9.10.3 or 9.10.4.

9.10.3. CITY will not be responsible for CONTRACTOR'S means, methods, techniques, sequences or procedures of construction, or the safety precautions and programs incident thereto, and CITY will not be responsible to CONTRACTOR for CONTRACTOR'S failure to perform or furnish the WORK in accordance with the Contract Documents.

9.10.4. CITY will not be responsible for the acts or omissions of CONTRACTOR or of any SUB-CONTRACTOR, any Supplier, or of any other person or organization performing or furnishing any of the WORK.

ARTICLE 10 -- CHANGES IN THE WORK

10.1. AUTHORIZED CHANGES IN THE WORK

10.1.1. Without invalidating the Contract and without notice to any surety, the CITY may, at any time or from time to time, order additions, deletions or revisions in the WORK; these will be authorized by a Written Amendment, a Change Order, or a Work Change Directive. Upon receipt of any such document, CONTRACTOR shall promptly proceed with the WORK involved that will be performed under the applicable conditions of the Contract Documents, except as otherwise specifically provided.

10.1.2. If the CITY and CONTRACTOR are unable to agree as to the extent, if any, of an increase or decrease in the Contract Price or an extension or shortening of the Contract Time that should be allowed as a result of a Work Change Directive, a claim may be made therefore as provided in Article 11 or Article 12.

10.2. UNAUTHORIZED CHANGES IN THE WORK

10.2.1. CONTRACTOR shall not be entitled to an increase in the Contract Price or an extension of the Contract Time with respect to any WORK performed that is not required by the Contract Documents as amended, modified and supplemented as provided in Section 3.2, except in the case of an emergency as provided in

paragraph 6.13.1 and except in the case of uncovering WORK as provided in paragraph 13.4.2.

10.3. EXECUTION OF CHANGE ORDERS

10.3.1. The CITY and CONTRACTOR shall execute appropriate Change Orders (or Written Amendments) covering:

10.3.1.1. Changes in the WORK, which are ordered by the CITY pursuant to paragraph 10.1.1, are required because of acceptance of *defective* WORK under paragraph 13.7.4 or correcting *defective* WORK under paragraph 13.9.3, or are agreed to by the parties.

10.3.1.2. Changes in the Contract Price or Contract time which the parties agree to.

10.3.1.3. Changes in the Contract Price or Contract Time which embody the substance of any written decision rendered by CITY pursuant to paragraph 9.9.1; provided that, in lieu of executing any such Change Order, an appeal may be taken from any such decision in accordance with the provision of the Contract Documents and applicable Laws and Regulations, but during any such appeal, CONTRACTOR shall carry on the WORK and adhere to the progress schedule as provided in paragraph 6.15.1.

10.3.2. **Surety.** It is distinctly agreed and understood that any changes made in the Contract Documents for this WORK (whether such changes increase or decrease the amount thereof) or any change in the manner or time of payments or time of performance made by the CITY to the CONTRACTOR shall in no way annul, release or affect the liability and surety on the Bonds given by the CONTRACTOR. If notice of any change affecting the general scope of the WORK or the provisions of the Contract Documents (including, but not limited to, Contract Price or contract Time) is required by the provisions of any bond to be given to a surety, the giving of any such notice will be CONTRACTOR'S responsibility, and the amount of each applicable Bond will be adjusted accordingly.

10.3.3. Notwithstanding, anything to the contrary contained within the contract documents, all change orders involving additional cost or extensions of time, shall be governed by the ordinances of the City of Lauderdale Lakes.

ARTICLE 11 -- CHANGE OF CONTRACT PRICE

11.1. GENERAL

11.1.1. The Contract Price constitutes the total compensation (subject to authorized adjustments) payable to CONTRACTOR for performing the WORK. All duties, responsibilities and obligations assigned to or undertaken by CONTRACTOR shall be at his expense without change in the Contract Price.

11.1.2. The Contract Price may only be changed by a Change Order or by a Written Amendment. Any claim for an increase or decrease in the Contract Price shall be based on written notice delivered by the party making the claim to the other party and to CITY promptly (but in no event later than ten (10) days) after the occurrence of the event giving rise to the claim and stating the general nature of the claim. Notice of the amount of the claim with supporting

data shall be delivered within thirty (30) days after such occurrence (unless CITY allows an additional period of time to ascertain more accurate data in support of the claim) and shall be accompanied by claimant's written statement that the amount claimed covers all known amounts (direct, indirect and consequential) to which the claimant is entitled as a result of the occurrence of said event. All claims for adjustment in the Contract Price shall be determined by CITY in accordance with paragraph 9.9.1 if the CITY and CONTRACTOR cannot otherwise agree on the amount involved. No claim for an adjustment in the Contract Price will be valid if not submitted in accordance with this paragraph 11.1.2.

11.1.3. The value of any WORK covered by a Change Order or of any claim for an increase or decrease in the Contract Price shall be determined in one of the following ways:

11.1.3.1. Where the WORK involved is covered by unit prices contained in the Contract Documents, by application of unit prices to the quantities of the items involved (subject to the provisions of Section 11.5, inclusive).

11.1.3.2. By mutual acceptance of a lump sum (which shall include an allowance for overhead and profit in accordance with paragraph 11.3.1.2.a).

11.1.3.3. On the basis of the Cost of the WORK (determined as provided in Section 11.2, inclusive) plus a CONTRACTOR'S Fee for overhead and profit (determined as provided in Section 11.3, inclusive).

11.2. COST OF THE WORK:

11.2.1. **General.** The term Cost of the WORK means the sum of all costs necessary incurred and paid by CONTRACTOR in the proper performance of the WORK. Except as otherwise may be agreed to in writing by the CITY, such costs shall be in amounts no higher than those prevailing in the locality of the Project, shall include only the following items and shall not include any of the costs itemized in paragraph 11.2.2:

11.2.1.1. **Labor.** Payroll costs for employees in the direct employ of CONTRACTOR in the performance of the WORK under schedules of job classification agreed upon by the CITY and CONTRACTOR. Payroll costs for employees not employed full time on the WORK shall be apportioned on the basis of their time spent on the WORK. Payroll costs shall include, but not be limited to, salaries and wages plus the cost of fringe benefits which shall include social security contributions, unemployment, excise and payroll taxes, workers' or workmen's compensation, health and retirement benefits, sick leave, vacation and holiday pay applicable thereto. Such employees shall include superintendents and foremen at the site. The expenses of performing WORK after regular working hours, on Saturday, Sunday or legal holidays shall be included in the above to the extent authorized by the CITY.

11.2.1.2. **Materials and Equipment.** Cost of all materials and equipment furnished and incorporated in the WORK, including costs of transportation and storage thereof, and Suppliers' field services required in connection therewith. All cash discounts shall accrue to CONTRACTOR unless the CITY deposits funds with CONTRACTOR with which to make payments, in which case the cash discounts shall accrue to the CITY. All trade discounts, rebates and refunds and all returns from sale of surplus materials and

equipment shall accrue to the CITY, and CONTRACTOR shall make provisions so that they may be obtained.

11.2.1.3. SUB-CONTRACTOR. Payments made by CONTRACTOR to the SUB-CONTRACTORS for WORK performed by SUB-CONTRACTORS. If required by the CITY, CONTRACTOR shall obtain competitive bids from SUB-CONTRACTORS acceptable to CONTRACTOR and shall deliver such bids to the CITY who will then determine, with the advice of the CITY, which bids will be accepted. If a subcontract provides that the SUB-CONTRACTOR is to be paid on the basis of Cost of the WORK Plus a Fee, the SUB-CONTRACTOR's Cost of the WORK shall be determined in the same manner as CONTRACTOR'S Cost of WORK. All subcontracts shall be subject to the other provisions of the Contract Documents insofar as applicable.

11.2.1.4. Costs of special CITY's (including but not limited to engineers, architects, testing laboratories, surveyors, attorneys and accountants) employed for services specifically related to the WORK.

11.2.1.5. Supplemental costs include the following:

a. Cost, including transportation and maintenance, of all materials, supplies, equipment, machinery, appliances, office and temporary facilities at the site and tools not owned by the workers, which are consumed in the performance of WORK, and cost less market value of such items used but not consumed which remain the property of CONTRACTOR.

b. Rentals of all construction equipment and machinery and the parts thereof whether rented from CONTRACTOR or others in accordance with rental agreements approved by the CITY with the advice of CITY, and the costs of transportation, loading, unloading, installation, dismantling and removal thereof--all in accordance with terms of said rental agreements. The rental of any such equipment, machinery or parts shall cease when the use thereof is no longer necessary for the WORK. For special equipment and machinery such as power driven pumps, concrete mixers, trucks, front end loaders, backhoes, and tractors, or other equipment, required for the economical performance of the authorized WORK, the CONTRACTOR shall receive payment based on the weekly rate divided by 40 to arrive at an hourly cost. The weekly rate shall be from the latest edition of the Rental Rate blue book for Construction Equipment, published by Equipment Guide Book Co., reduced by 25 percent. Equipment cost shall be calculated based upon the actual time the equipment is used in the WORK. If said WORK required the use of machinery not on the WORK or not to be used on the WORK, the cost of transportation, not exceeding a distance of one hundred (100) miles, of such machinery to and from the WORK shall be added to the fair rental rate; provided, however, that this shall not apply to machinery or equipment already required to be furnished under the terms of the Contract.

c. Sales, consumer, use or similar taxes related to the WORK and for which CONTRACTOR is liable, imposed by laws and regulations.

d. Royalty payments and fees for permits and licenses.

e. The site costs of utilities, fuel and sanitary facility.

f. Cost of premiums for additional bonds and insurance required because of changes in the WORK.

11.2.2. The term Cost of the WORK shall not include any of the following:

11.2.2.1. Payroll costs and other compensation of CONTRACTOR'S officers, executives, principals (of partnership and sole proprietorships), general managers, engineers, architects, estimators, attorneys, auditors, accountants, purchasing and contracting agents, expeditors, timekeepers, clerks and other personnel employed by CONTRACTOR whether at the site or in CONTRACTOR'S principal or a branch office for general administration of the WORK and not specifically included in the agreed upon schedule of job classifications referred to in paragraph 11.2.1.1 or specifically covered by paragraph 11.2.1.4 -- all of which are to be considered administrative costs covered by the CONTRACTOR'S Fee.

11.2.2.2. Expenses of CONTRACTOR'S principal and branch offices other than CONTRACTOR'S office at the site.

11.2.2.3. Any part of CONTRACTOR'S capital expenses, including interest on CONTRACTOR'S capital employed for the WORK and charges against CONTRACTOR for delinquent payments.

11.2.2.4. Cost of premiums for all Bonds and for all Insurance whether or not CONTRACTOR is required by the Contract Documents to purchase and maintain the same (except for the cost of premiums covered by subparagraph 11.2.1.5f above).

11.2.2.5. Costs due to the negligence or intentional acts of the CONTRACTOR, any SUB-CONTRACTOR, or anyone whose acts any of them may be liable, including but not limited to, the correction of defective WORK, disposal of materials or equipment wrongly supplied and making good any damage to property.

11.2.2.6. Costs associated with fringe benefits that are greater than actual costs; i.e., where worker hours exceed a typical 8-hour day and 40-hour workweek.

11.2.2.7. Other overhead or general expense costs of any kind and the costs of any item not specifically and expressly included in Section 11.2.

11.3. CONTRACTOR'S FEE:

11.3.1. The CONTRACTOR'S Fee for overhead and profits shall be determined as follows:

11.3.1.1. A mutually acceptable fixed fee; or if none can be agreed upon,

11.3.1.2. A fee based on the following percentages of the various portions of the Cost of the WORK:

a. For costs incurred under paragraphs 11.2.1.1 and 11.2.1.2, the CONTRACTOR'S Fee shall be five (5%) percent;

b. For costs incurred under paragraph 11.2.1.3, the CONTRACTOR'S Fee shall be five percent; and if a subcontract is on the basis of Cost of the WORK Plus a Fee, the maximum allowable to CONTRACTOR on account of overhead and profit of all SUB-CONTRACTORS shall be five (5%) percent;

c. No fee shall be payable on the basis of costs itemized under paragraphs 11.2.1.4, 11.2.1.5 and 11.2.2;

d. The amount of credit to be allowed by CONTRACTOR to the CITY for any such change which results in a net decrease in cost will be the amount of the actual net decrease plus a deduction in CONTRACTOR'S Fee by an amount equal to ten percent of the net decrease; and

e. When both additions and credits are involved in any one change, the adjustment in CONTRACTOR'S Fee shall be computed on the basis of the net change in accordance with paragraphs 11.3.1.2a through 11.3.1.2d, inclusive.

11.3.2. Whenever the cost of any WORK is to be determined pursuant to paragraph 11.2.1 or 11.2.2, CONTRACTOR will submit in form acceptable to CITY an itemized cost breakdown together with supporting data.

11.4. CASH ALLOWANCES:

11.4.1. It is understood that CONTRACTOR has included in the Contract Price all allowances so named in the Contract Documents and shall cause the WORK so covered to be done by such SUB-CONTRACTORS or Suppliers and for such sums within the limit of the allowances as may be acceptable to the CITY, CONTRACTOR agrees that:

11.4.1.1. The allowances include the cost to CONTRACTOR (less any applicable trade discounts) of materials and equipment required by the allowances to be delivered at the site, and all applicable taxes; and

11.4.1.2. CONTRACTOR'S costs for unloading and handling on the site, labor, installation costs, overhead, profit and other expenses contemplated for the allowances have been included in the Contract Price and not in the allowances. No demand for additional payment on account of any thereof will be valid.

11.4.1.3. Prior to final payment, an appropriate Change order will be issued as recommended by CITY to reflect actual amounts due CONTRACTOR on account of WORK covered by allowances, and the Contract Price shall be correspondingly adjusted.

11.5. UNIT PRICE WORK:

11.5.1. Where the Contract Documents provide that all or part of the WORK is to be Unit Price WORK, initially the Contract Price will be deemed to include for all Unit Price WORK an amount equal to the sum of the established unit prices for each separately identified item of Unit Price WORK times the estimated quantity of each item as indicated in the Contract. The estimated quantities of items of Unit Price WORK are not guaranteed and are solely for the purpose of comparison of Bids and determining an initial Contract Price. Determinations of the actual quantities and classifications of Unit Price WORK performed by CONTRACTOR will be made by CITY in accordance with Paragraph 9.8.

11.5.2. Each unit price will be deemed to include an amount considered by CONTRACTOR to be adequate to cover CONTRACTOR'S overhead and profit for each separately identified item.

11.5.3. Where the quantity of any item of Unit Price WORK performed by CONTRACTOR differs materially and significantly from the estimated quantity of such item indicated in the Contract and there is no corresponding adjustment with respect to any other item of WORK and if CONTRACTOR believes that CONTRACTOR has incurred additional expense as a result thereof, CONTRACTOR may make a claim for an increase in the Contract Price in accordance with Article 11 if the parties are unable to agree as to the amount of any such increase.

11.5.4. Where the quantity of any item of Unit Price WORK performed by CONTRACTOR differs materially and significantly from the estimated quantity of such item indicated in the Contract and there is no corresponding adjustment with respect to any other item of WORK and if CITY believes that CONTRACTOR has incurred reduced expense as a result thereof, CITY may make a claim for a decrease in the Contract Price in accordance with Article 11 if the parties are unable to agree as to the amount of any such decrease.

11.6. OMITTED WORK:

11.6.1. The CITY may at any time, by written order, without Notice to the Sureties, require omission of such contract WORK as it may find necessary or desirable. An order for omission of WORK shall be valid only by an executable change order. All WORK so ordered must be omitted by the CONTRACTOR. The amount by which the contract price shall be reduced shall be determined as follows:

11.6.1.1. By such applicable unit prices, or rates for WORK of a similar nature or character as set forth in the contract; or,

11.6.1.2. By the appropriate lump sum price set forth in the Contract; or,

11.6.1.3. By the reasonable and fair estimated cost of such omitted WORK and profit percentage as determined by the CONTRACTOR and the CITY, and approved by the CITY.

ARTICLE 12 -- CHANGE OF CONTRACT TIME

12.1 GENERAL

12.1.1. The Contract Time may only be changed by a Change Order or Written Amendment. Any claim for an extension or shortening of the Contract time shall be based on written notice delivered by the party making the claim to the other party and to CITY promptly (but in no event later than ten days) after the occurrence of the event giving rise to the claim and stating the general nature of the claim. Notice of the extent of the claim with supporting data shall be delivered within thirty (30) days after such occurrence (unless CITY allows an additional period of time to ascertain more accurate data in support of the claim) and shall be accompanied by the claimant's written statement that the adjustment claimed is the entire adjustment to which the claimant has reason to believe it is entitled as a result of the occurrence of said event. All claims for adjustment of the Contract Time shall be determined by CITY in accordance with Section 9.9 if the CITY and CONTRACTOR cannot otherwise agree.

No claim for an adjustment in the Contract Time will be valid if not submitted in accordance with the requirements of this paragraph 12.1.1.

12.1.2. All time limits stated in the Contract Documents are of the essence of the Contract.

12.1.3. Where CONTRACTOR is prevented from completing any part of the WORK within the Contract Times (or Milestones) due to delay beyond the control of CONTRACTOR, the Contract Times (or Milestones) will be extended in an amount equal to the time lost due to such delay if a claim is made therefore as provided in paragraph 12.1.1. Delays beyond the control of CONTRACTOR shall include, but not be limited to, acts or neglect by CITY, acts or neglect of utility owners or other CONTRACTORS performing other work as contemplated by Article 7, fires, floods, epidemics, abnormal weather conditions or acts of God. Delays attributable to and within the control of a SUB-CONTRACTOR or Supplier shall be deemed to be delays within the control of CONTRACTOR.

12.1.4. Where CONTRACTOR IS prevented from completing any part of the WORK within the Contract Times (or Milestones) due to delay beyond the control of both CITY and CONTRACTOR, an extension of the Contract Times (or Milestones) in an amount equal to the time lost due to such delay shall be CONTRACTOR's sole and exclusive remedy for such delay. In no event shall CITY be liable to CONTRACTOR, any SUB-CONTRACTOR, any Supplier, any other person or organization, or to any surety or employee or agent of any of them, for damages arising out of or resulting from (i) delays caused by or within the control of CONTRACTOR, or (ii) delays beyond the control of both parties including but not limited to fires, floods, epidemics, abnormal weather conditions, acts of God or acts of neglect by utility owners or other CONTRACTORS performing other work as contemplated by Article 7.

12.1.5 Liquidated Damages. The CITY and CONTRACTOR recognize and acknowledge that time is of the essence of this Contract and that the CITY will suffer financial loss if the WORK is not completed within the times specified in paragraph 2.3 of the General Conditions and the Notice To Proceed, plus any extensions thereof allowed in accordance with Article 12 of the General Conditions. Each of the parties acknowledges that it has attempted to quantify the damages which would be suffered by CITY in the event of the failure of CONTRACTOR to perform in a timely manner, but neither one has been capable of ascertaining such damages with a certainty. CITY and CONTRACTOR also recognize and acknowledge the delays, expense and difficulties involved in proving in a legal proceeding the actual loss suffered by the CITY if the WORK is not completed on time. Accordingly, instead of requiring any such proof, the CITY and CONTRACTOR agree that as liquidated damages for delay (but not as a penalty) CONTRACTOR shall pay the CITY, Five Hundred Dollars (\$500.00) for each day that expires after the time specified in paragraphs 2.3 of the General Conditions, and paragraph 3.1 of the Construction Contract for substantial completion until the WORK is substantially complete. After Substantial Completion, if CONTRACTOR shall neglect, refuse or fail to complete the remaining WORK within the Contract Time or any proper extension thereof granted by the CITY, CONTRACTOR shall pay CITY Five Hundred Dollars (\$500.00) for each day that expires after the time specified in paragraph 2.3 of the General Conditions and paragraph 3.1 of the construction contract for completion and readiness for final payment.

ARTICLE 13 --TESTS AND INSPECTIONS, CORRECTION, REMOVAL OR ACCEPTANCE OF DEFECTIVE WORK

13.1. NOTICE OF DEFECTS:

13.1.1. Prompt notice of all defects for which CITY has actual knowledge will be given to CONTRACTOR. All defective WORK, whether or not in place, may be rejected, corrected or accepted as provided in Article 13.

13.1.2. Un-remedied defects identified for correction during the guarantee period but remaining after its expiration shall be considered as part of the obligations of the guarantee. Defects in material, workmanship or equipment, which are remedied as a result of obligations of the guarantee, shall subject the remedied portion of the WORK to an extended guarantee period of one year after the defect has been remedied. The Surety shall be bound with and for the CONTRACTOR in the CONTRACTOR's faithful observance of the guarantee.

13.2. ACCESS TO WORK:

13.2.1 CITY and CITY'S representatives, testing agencies and governmental agencies with jurisdictional interests will have access to the WORK at reasonable times for their observation, inspecting and testing. CONTRACTOR shall provide proper and safe conditions for such access.

13.3. TESTS AND INSPECTIONS:

13.3.1. CONTRACTOR shall give CITY timely notice of readiness of the WORK for all required inspections, tests or approvals.

13.3.2. If Laws or Regulations of any public body having jurisdiction require any WORK (or part thereof) to specifically be inspected, tested or approved, CONTRACTOR shall assume full responsibility therefor, pay all costs in connection therewith and furnish CITY the required certificates of inspection, testing or approval. CONTRACTOR shall also be responsible for and shall pay all costs in connection with any inspection or testing required in connection with the CITY'S requirements or CITY'S acceptance of a Supplier of materials or equipment proposed to be incorporated in the WORK, or of materials or equipment submitted for approval prior to CONTRACTOR'S purchase thereof for incorporation in the WORK.

13.3.3. All inspections, tests or approvals other than those required by Laws or Regulations of any public body having jurisdiction shall be performed by organizations acceptable to the CITY.

13.3.4. If any WORK (including the WORK of others) that is to be inspected, tested or approved is covered without written concurrence of CITY, it must, if requested by CITY, be uncovered for observation. Such uncovering shall be at CONTRACTOR'S expense unless CONTRACTOR has given CITY timely notice of CONTRACTOR'S intention to cover the same and CITY has not acted with reasonable promptness in response to such notice.

13.3.5. Neither observations by CITY nor inspections, tests or approvals by others shall relieve CONTRACTOR from CONTRACTOR'S obligation's to perform the WORK in accordance with the Contract Documents.

13.4. UNCOVERING WORK:

13.4.1. If any WORK is covered contrary to the request of CITY, it must, if requested by CITY, be uncovered for CITY'S observation and replaced, at CONTRACTOR'S expense.

13.4.2. If CITY considers it necessary or advisable that covered WORK be observed by CITY or inspected or tested by others, CONTRACTOR, at CITY'S request shall uncover, expose or otherwise make available for observation, inspection or testing as CITY may require, that portion of the WORK in question, furnishing all necessary labor, material and equipment. If it is found that such WORK is *defective*, CONTRACTOR shall bear all direct, indirect and consequential costs of such uncovering, exposure, observation, inspection and testing and of satisfactory reconstruction, (including but not limited to fees and charges of engineers, architects, attorneys and other professionals), and the CITY shall be entitled to an appropriate decrease in the Contract Price, and, if the parties are unable to agree as to the amount thereof, may make a claim therefor as provided in Article 11. If, however, such WORK is not found to be *defective*, CONTRACTOR shall be allowed an increase in the Contract Price or an extension of the Contract time, or both, directly attributable to such uncovering, exposure, observation, inspection, testing and reconstruction; and if the parties are unable to agree as to the amount or extent thereof, CONTRACTOR may make a claim therefor as provided in Article 11 and 12.

13.5. CITY MAY STOP THE WORK:

13.5.1. If the WORK is *defective*, or CONTRACTOR fails to supply sufficient skilled workers or suitable materials or equipment, or fails to furnish or perform the WORK in such a way that the completed WORK will conform to the Contract Documents, the CITY may order CONTRACTOR to stop the WORK, or any portion thereof, until the cause for such order has been eliminated; however, this right of the CITY to stop the WORK shall not give rise to any duty on the part of the CITY to exercise this right for the benefit of CONTRACTOR or any other party.

13.6. CORRECTION OR REMOVAL OF DEFECTIVE WORK:

13.6.1. If required by CITY, CONTRACTOR shall promptly, as directed, either correct all defective WORK, whether or not fabricated, installed or completed, or, if the WORK has been rejected by CITY, remove it from the site and replace it with non-*defective* WORK. CONTRACTOR shall bear all direct, indirect, and consequential costs of such correction or removal (including but not limited to fees and charges of engineers, architects, attorneys and other professionals) made necessary thereby.

13.7. ONE-YEAR CORRECTION PERIOD:

13.7.1. If within one year after the date of Acceptance of WORK or such longer period of time as may be prescribed by Laws or Regulations or by the terms of any applicable

special guarantee required by the Contract Documents or by any specific provision of the Contract Documents, any WORK is found to be *defective*, CONTRACTOR shall promptly, without cost to the CITY and in accordance with the CITY'S written instructions, either correct such *defective* WORK, or, if it has been rejected by the CITY, remove it from the site and replace it with non-*defective* WORK.

13.7.2. If CONTRACTOR does not promptly comply with the terms of such instructions or in an emergency where delay would cause serious risk of loss or damage, the CITY may have the *defective* WORK corrected or the rejected WORK removed and replaced, and all direct, indirect and consequential costs of such removal and replacement (including but not limited to fees and charges of engineers, architects, attorneys and other professionals) will be paid by CONTRACTOR.

13.7.3. In special circumstances where a particular item of equipment is placed in continuous service before Final Acceptance of all the WORK, the correction period for that item may start to run from an earlier date if so provided in the Specifications or by Written Amendment.

13.7.4. Nothing herein shall be deemed a waiver of the statute of limitations as provided in Florida Law.

13.7.5. Where *defective* WORK (and damage to other WORK resulting therefrom) has been corrected, removed or replaced under this paragraph 13.7., the correction period hereunder with respect to such WORK will be extended for an additional period of one year after such correction or removal and replacement has been satisfactorily completed.

13.8. ACCEPTANCE OF DEFECTIVE WORK:

13.8.1. If, instead of requiring correction or removal and replacement of *defective* WORK, CITY (and, prior to CITY's recommendation of final payment, also CITY) prefers to accept it, CITY may do so. CONTRACTOR shall pay all claims, costs, losses and damages attributable to CITY'S evaluation of and determination to accept such *defective* WORK (such costs to be approved by CITY as to reasonableness and to include but not be limited to fees and charges of engineers, architects, attorneys and other professionals).

13.8.2. If any such acceptance occurs prior to CITY'S recommendation of final payment, a Change Order will be issued incorporating the necessary revisions in the Contract Documents with respect to the WORK; and the CITY shall be entitled to an appropriate decrease in the Contract Price, and, if the parties are unable to agree as to the amount thereof, the CITY may make a claim therefor as provided in Article 11. If the acceptance occurs after such recommendation, CONTRACTOR will pay an appropriate amount to the CITY.

13.9. CITY MAY CORRECT DEFECTIVE WORK:

13.9.1. If CONTRACTOR fails within thirty days (30) after written notice of CITY to proceed to correct and to correct *defective* WORK or to remove and replace rejected WORK as required by CITY in accordance with paragraph 13.7.1, or if CONTRACTOR fails to perform the WORK in accordance with the Contract Documents, or if CONTRACTOR fails to comply with any other provision of the Contract Documents, the CITY may, after seven days written notice to CONTRACTOR, correct and remedy any such deficiency.

13.9.2. In exercising the rights and remedies under this paragraph the CITY shall proceed expeditiously. To the extent necessary to complete corrective and remedial action, the CITY may exclude CONTRACTOR from all or part of the site, take possession of all or part of the WORK, and suspend CONTRACTOR'S services related thereto, take possession of CONTRACTOR'S tools, appliances, construction equipment and machinery at the site and incorporate in the WORK all materials and equipment stored at the site or for which the CITY has paid CONTRACTOR but which are stored elsewhere. CONTRACTOR shall allow the CITY, the CITY'S representative, agents and employees such access to the site as may be necessary to enable the CITY to exercise the rights and remedies under this paragraph.

13.9.3. All direct, indirect and consequential costs of the CITY in exercising such rights and remedies will be charged against CONTRACTOR by CITY and a Change Order will be issued incorporating the necessary revisions in the Contract Documents with respect to the WORK; and the CITY shall be entitled to an appropriate decrease in the Contract Price, and, if the parties are unable to agree as to the amount thereof, the CITY may make a claim therefor as provided in Article 11. Such direct, indirect and consequential costs will include but not be limited to fees and charges of engineers, architects, attorneys and other professionals, all court costs and all costs of repair and/or replacement of WORK of others destroyed or damaged by correction, removal or replacement of CONTRACTOR'S defective WORK. CONTRACTOR shall also be responsible for restoring any other sites affected by such repairs or remedial work at no cost to CITY. CONTRACTOR shall not be allowed an extension of the Contract Time because of any delay in performance of the WORK attributable to the exercise by the CITY of the CITY'S rights and remedies hereunder.

ARTICLE 14 -- PAYMENTS TO CONTRACTOR AND COMPLETION

14.1. SCHEDULE OF VALUES

14.1.1. The schedule of values established as provided in paragraph 2.6.1 will serve as the basis for progress payments and will be incorporated into a form of Application for Payment acceptable to CITY.

14.2. UNIT PRICE BID SCHEDULE

14.2.1. Progress payments on account of Unit Price WORK will be based on the number of units completed.

14.3. APPLICATION FOR PROGRESS PAYMENTS:

14.3.1. Unless otherwise prescribed by law, at the end of each month, the CONTRACTOR shall submit to the CITY for review, an Application for Progress Payment filled out and signed by the CONTRACTOR covering the WORK completed as of the date of the Application and accomplished by such supporting documentation as is required by the Contract Documents.

14.3.2. The Application for Progress Payment shall identify, as a subtotal, the amount of the CONTRACTOR'S Total Earnings to Date, plus the Value of Materials Stored which have not yet been incorporated in the WORK, less a deductive adjustment for materials stored which have been

installed which were not previously incorporated in the WORK, but for which payment was allowed.

14.3.3. The Net Payment Due to the CONTRACTOR shall be the above- mentioned subtotal from which shall be deducted the amount of retainage specified in the Contract, and the total amount of all previous approved Applications for Progress Payment submitted by the CONTRACTOR. Retainage shall be calculated based upon the above- mentioned subtotal.

The above calculation in tabular form is as follows:

Total Earnings to Date	\$
Value of Materials Stored	\$
Less Value of Materials Stored for which payment was allowed and which have been installed	(\$)
Sub Total	\$
Less Retainage (based on sub total)	(\$)
Less total of all previous approved Applications for Progress Payment	(\$)
NET PAYMENT DUE	\$

14.3.4. The Value of Materials Stored shall be an amount equal to the specified percent of the value of same as set forth in the Contract or Schedule of Values. Said amount shall be based upon the value of all acceptable materials and equipment not incorporated in the WORK but delivered and suitably stored at the site or at another location agreed to in writing; provided, each such individual item has a value of more than \$5,000 and will become a permanent part of the WORK and is planned for installation within the following thirty (30) days. The Application for Progress Payment shall also be accompanied by a Bill of Sale, paid invoice, or other documentation warranting that the CITY has received the materials and equipment free and clear of all liens, charges, security interests, and encumbrances (which are hereinafter in these General Conditions referred to as "Liens") and evidence that the materials and equipment are covered by appropriate property insurance and other arrangements to protect the CITY'S interest therein, all of which shall be satisfactory to the CITY.

14.4. CONTRACTOR'S WARRANTY OF TITLE:

14.4.1. CONTRACTOR warrants and guarantees that title to all WORK, materials and equipment covered by any Application for Payment, whether incorporated in the Project or not, will pass to the CITY no later than the time of payment free and clear of Liens.

14.5. REVIEW OF APPLICATIONS FOR PROGRESS PAYMENT:

14.5.1. CITY will, within ten days after receipt of each Application for Payment, either indicate in writing a recommendation of payment and present the Application to the CITY, or return the Application to CONTRACTOR indicating in writing CITY'S reasons for refusing to recommend payment. In the latter case, CONTRACTOR may make necessary corrections and resubmit the Application. Thirty days after receipt of the Application for Payment by the CITY with CITY'S recommendation, the amount recommended will (subject to the provisions of the last sentence of paragraph 14.5.4) become due and when due will be paid by the CITY to CONTRACTOR.

14.5.2. CITY'S recommendation of any

payment requested in the application for payment shall not prohibit the CITY from withholding payment or prohibit the CITY from paying additionally sums regarding other matters or issues between the parties.

14.5.3. CITY'S recommendation of final payment will constitute an additional representation by CITY's Project Manager that the conditions precedent to CONTRACTOR'S being entitled to final payment as set forth in paragraph 14.10 have been fulfilled.

14.5.4. CITY may refuse to recommend the whole or any part of any payment if, in CITY'S opinion, it would be incorrect to make such representations to the CITY. The CITY may also refuse to recommend any such payment, or, because of subsequently discovered evidence or the results of subsequent inspections or tests, nullify any such payment previously recommended, to such extent as may be necessary in CITY'S opinion to protect the CITY from loss, including but not limited to:

14.5.4.1. The WORK is *defective*, or completed WORK has been damaged requiring correction or replacement.

14.5.4.2. The Contract Price has been reduced by a Written Amendment or Change Order.

14.5.4.3. The CITY has been required to correct *defective* WORK or complete WORK in accordance with paragraph 13.9.1, or

14.5.4.4. Of CITY'S actual knowledge of the occurrence of any of the events enumerated in paragraphs 15.2.1.1 through 15.2.1.9 inclusive.

14.5.5. The CITY may refuse to make payment of the full amount recommended by the CITY because claims have been made against the CITY on account of CONTRACTOR'S performance or furnishing of the WORK, or there are other items entitling the CITY to credit against the amount recommended, but the CITY must give CONTRACTOR written notice (with a copy to CITY) stating the reasons for such action.

14.6. SUBSTANTIAL COMPLETION:

(60) When the CONTRACTOR considers the entire WORK ready for its intended use, the CONTRACTOR shall notify the CITY in writing that the WORK is substantially complete and request that the CITY prepare a Certificate of Substantial Completion. For construction projects having an estimated cost of less than \$10 million, the CITY, and the CONTRACTOR shall make an inspection of the WORK shall make an inspection of the WORK within thirty (30) calendar days after the notice from the CONTRACTOR that the work is substantially complete to determine the status of completion. For construction projects having an estimated cost of more than \$10 million, the CITY, and the CONTRACTOR shall make an inspection of the WORK within thirty (30) calendar days unless otherwise extended by contract not to exceed sixty calendar days after notice from the CONTRACTOR that the work is substantially complete to determine the status of completion. If the CITY does not consider the WORK substantially complete, the CITY shall notify the CONTRACTOR in writing giving the reasons therefor. If the CITY considers the WORK to be

substantially complete, the CITY will prepare and deliver to the CITY for its execution and recordation the Certificate of Substantial Completion signed by the CITY and CONTRACTOR, which shall fix the Date of Substantial Completion.

14.6.1. The CITY shall have the right to exclude CONTRACTOR from the WORK after the date of Substantial Completion, but the CITY shall allow CONTRACTOR reasonable access to complete or correct items on the "punch list".

14.7. PARTIAL UTILIZATION:

14.7.1. Use by the CITY of any finished part of the WORK, which has specifically been identified in the Contract Documents, or which the CITY and CONTRACTOR agree constitutes a separately functioning and useable part of the WORK that can be used by the CITY without significant interference with CONTRACTOR'S performance of the remainder of the WORK, may be accomplished prior to Substantial Completion of all WORK subject to the following:

14.7.1.1. The CITY at any time may request CONTRACTOR in writing to permit the CITY to use any such part of the WORK which the CITY believes to be ready for its intended use and substantially complete. If CONTRACTOR agrees, CONTRACTOR will certify to the CITY that said part of the WORK is substantially complete and request CITY to issue a certificate of Substantial Completion for that part of the WORK. CONTRACTOR at any time may notify the CITY in writing that CONTRACTOR considers any such part of the WORK ready for its intended use and substantially complete and request CITY to issue a certificate of Substantial Completion for that part of the WORK. Within a reasonable time after either such request, the CITY, CONTRACTOR and CITY shall make an inspection of that part of WORK to determine its status of completion. If CITY does not consider that part of the WORK to be substantially complete, CITY will notify the CITY and CONTRACTOR in writing giving the reasons therefor. If CITY considers that part of the WORK to be substantially complete, the provisions of paragraphs 14.6.1 and 14.6.2 will apply with respect to certification of Substantial Completion of that part of the WORK and the division of responsibility in respect thereof and access thereto.

14.7.1.2. The CITY may at any time request CONTRACTOR in writing to permit the CITY to take over operation of any such part of the WORK although it is not substantially complete. A copy of such request will be sent to CITY and within a reasonable time thereafter the CITY, CONTRACTOR and CITY shall make an inspection of that part of the WORK to determine its status of completion and will prepare a list of items remaining to be completed or corrected thereon before final payment. If CONTRACTOR does not object in writing to the CITY that such part of the WORK is not ready for separate operation by the CITY will finalize the list of items to be completed or corrected and will deliver such list to the CITY and CONTRACTOR together with a written recommendation as to the division of responsibilities pending final judgment between the CITY and CONTRACTOR with respect to security, operation, safety, maintenance, utilities, insurance, warranties and guarantees for that part of the WORK which will become binding upon the CITY and CONTRACTOR at the time when

the CITY takes over such operation (unless they shall have otherwise agreed in writing and so informed CITY). During such operation and prior to Substantial Completion of such part of the WORK, the CITY shall allow CONTRACTOR reasonable access to complete or correct items on said list and to complete other related WORK.

14.8. FINAL INSPECTION:

14.8.1. Upon written notice from CONTRACTOR that the entire WORK or an agreed portion thereof is complete, CITY will make a final inspection with the CITY and CONTRACTOR and will notify CONTRACTOR in writing of all particulars in which this inspection reveals that the WORK is incomplete, defective, or not in accordance with the Contract Documents. CONTRACTOR shall immediately take such measures as are necessary to remedy such deficiencies.

14.9. FINAL APPLICATION FOR PAYMENT:

14.9.1. After CONTRACTOR has completed in writing all such corrections to the satisfaction of CITY and delivered all maintenance and operating instructions, schedules, guarantees, Bonds, certificates of inspection, marked-up record documents (as provided in paragraph 14.6) and other documents--all as required by the Contract Documents, and after CITY has indicated in writing that the WORK is acceptable and has been completed in conformance with the drawings and specifications and any approved changes thereto, CONTRACTOR may make application for final payment following the procedure for progress payments. The final Application for Payment shall be accompanied by: (i) all documentation called for in the Contract Documents, including but not limited to the evidence of insurance required, (ii) consent of the surety, if any, to final payment, and (iii) complete and legally effective releases or waivers (satisfactory to CITY) of all Liens arising out of or filed in connection with the WORK.

14.10. FINAL PAYMENT AND ACCEPTANCE:

14.10.1. Upon receipt of written notice from the CONTRACTOR that the WORK has been completed in conformity with the Drawings and Specifications and any approved changes thereto, and receipt of the Final Application for Payment, Final Receipt and Release of Lien and accompanying documentation, the CITY shall promptly examine the WORK and, making such tests as he may deem proper and using all of the care and judgment normally exercised in the examination of completed WORK by a properly qualified and experienced Professional CITY, shall satisfy himself that the CONTRACTOR'S statement appears to be correct and the CONTRACTOR'S other obligations under the Contract Documents have been fulfilled. He shall then inform the CITY in writing that he has examined the WORK and that it appears, to the best of his knowledge and belief, to conform to the Contract Drawings, Specifications and any approved Change Orders, that the CONTRACTOR'S other obligations under the Contract Documents have been fulfilled, and that he therefore recommends acceptance of the WORK for ownership and Final Payment to the CONTRACTOR. However, it is agreed by the CITY and the CONTRACTOR that such statement by the CITY does not in any way relieve the CONTRACTOR from his responsibility to deliver a fully completed job in a good and workmanlike condition, and does not render the CITY liable for any faulty WORK done

or defective materials or equipment used by the CONTRACTOR.

14.10.2. The CITY will then make a final estimate of the value of all WORK done and will deduct all previous payments which have been made. The CITY will report such estimate to the CITY together with the recommendation as to the acceptance of the WORK or his findings as to any deficiencies therein. After receipt and acceptance by the CITY of the properly executed Final Warranty of Title and after approval of the CITY'S estimate and recommendation, the CITY will make final payment to the CONTRACTOR of the Amount remaining after deducting all prior payments and all amounts to be kept or retained under the provisions of the Contract Documents, including, but not limited to, Liquidated Damages, as applicable. Title passes and warranty begins at final acceptance.

14.10.3. All prior estimates are subject to correction in the final estimate. Thirty days after approval by the CITY of the application for final payment, the amount recommended by CITY shall become due and will be paid to CONTRACTOR.

14.11. WAIVER OF CLAIMS:

14.11.1. The making and acceptance of final payment will constitute:

14.11.1.1. a waiver of all claims by CITY against CONTRACTOR, except claims arising from unsettled Liens, from defective WORK appearing after final inspection pursuant to paragraph 14.8, from failure to comply with the Contract Documents or the terms of any special guarantees specified therein, or from CONTRACTOR'S continuing obligations under the Contract Documents; and

14.11.1.2 a waiver of all claims by CONTRACTOR against CITY other than those previously made in writing and still unsettled.

ARTICLE 15 -- SUSPENSION OF WORK AND TERMINATION

CITY MAY SUSPEND WORK:

15.1.1. The CITY may, at any time and without cause, suspend the WORK or any portion thereof for a period of not more than ninety days by notice in writing to CONTRACTOR and CITY which will fix the date on which WORK will be resumed. CONTRACTOR shall resume the WORK on the date so fixed. CONTRACTOR shall be allowed an increase in the Contract Price or an extension of the Contract Time, or both, directly attributable to any suspension if CONTRACTOR makes an approved claim therefore as provided in Articles 11 and 12.

15.2. CITY MAY TERMINATE

15.2.1. Upon the occurrence of any one or more of the following events:

15.2.1.1. If CONTRACTOR commences a voluntary case under any chapter of the Bankruptcy Code (Title 11, United States Code), as now or hereafter in effect, or if CONTRACTOR takes any equivalent or similar action by filing a petition or otherwise under any other federal or state law in effect at such timing relating to the bankruptcy or

insolvency;

15.2.1.2. If a petition is filed against CONTRACTOR under any chapter of the Bankruptcy Code as now or hereafter in effect at the time of filing, or if a petition is filed seeking any such equivalent or similar relief against CONTRACTOR under any other federal or state law in effect at the time relating to bankruptcy or insolvency;

15.2.1.3. If CONTRACTOR makes a general assignment for the benefit of creditors;

15.2.1.4. If a trustee, receiver, custodian or agent of CONTRACTOR is appointed under applicable law or under contract, whose appointment or authority to take charge of property of CONTRACTOR is for the purpose of enforcing a Lien against such property or for the purpose of general administration of such property for the benefit of CONTRACTOR'S creditors;

15.2.1.5. If CONTRACTOR admits in writing an inability to pay its debts generally as they become due;

15.2.1.6. If CONTRACTOR fails to perform the WORK in accordance with the Contract Documents (including, but not limited to, failure to supply sufficient skilled workers or suitable materials or equipment or failure to adhere to the progress schedule established under paragraph 2.6 as revised from time to time);

15.2.1.7. If CONTRACTOR disregards Laws or Regulations of any public body having jurisdiction;

15.2.1.8. If CONTRACTOR disregards the authority of CITY; or

15.2.1.9. If CONTRACTOR otherwise violates any provisions of the Contract Documents;

the CITY may, after giving CONTRACTOR and Surety seven days written notice of any default and to the extent permitted by Laws and Regulations, terminate the services of CONTRACTOR, exclude CONTRACTOR from the site and take possession of the WORK and of all CONTRACTOR'S tools, appliances, construction equipment and machinery at the site and use the same to the full extent they could be used by CONTRACTOR (without liability to CONTRACTOR for trespass or conversion), incorporate in the WORK all materials and equipment stored at the site or for which the CITY has paid CONTRACTOR but which are stored elsewhere, and finish the WORK as the CITY may deem expedient. In such case CONTRACTOR shall not be entitled to receive any further payment until the WORK is finished. If the unpaid balance of the Contract Price exceeds the expense of completing the WORK including compensation for additional managerial and administrative services, plus the CITY'S direct, indirect and consequential losses, damages and costs because of the CONTRACTOR'S default (including but not limited to fees and charges of engineers, architects, attorneys, and other professionals and court costs) such excess will be paid to CONTRACTOR. If such expenses and costs plus the CITY'S losses and damages exceed such unpaid balance, CONTRACTOR shall pay the difference to the CITY promptly on demand. Such costs incurred by the CITY will be approved as to reasonableness by CITY and incorporated in a Change Order, but when exercising any rights or remedies under this paragraph the CITY shall not be required to obtain the lowest price for the WORK performed.

15.2.2. Where CONTRACTOR'S services have been so terminated by the CITY, the termination will not affect any rights or remedies of the CITY against CONTRACTOR then existing or which may thereafter accrue. Any retention or payment of moneys due CONTRACTOR by the CITY will not release CONTRACTOR from liability.

15.2.3. The CITY may terminate this Contract without cause by giving seven (7) days prior written notice to the CONTRACTOR, and in such event, the CITY will pay the CONTRACTOR for that portion of the Contract Sum, less the aggregate of previous payments, allocable to the WORK completed as of the Date of Termination, plus reasonable termination expenses. The CITY also will reimburse the CONTRACTOR for all costs necessarily incurred for organizing and carrying out the stoppage of the WORK and paid directly by the CONTRACTOR, not including overhead, general expenses or profit. The CITY will not be responsible to reimburse the CONTRACTOR for any continuing contractual commitments to SUB-CONTRACTORS or material men or for penalties or damages for canceling such contractual commitments, (with the exception that the CITY shall reimburse the CONTRACTOR for major materials or equipment purchased before termination if the CONTRACTOR can show proof of said purchases prior to notice of termination) inasmuch as the CONTRACTOR shall make all subcontracts and other commitments subject to this provision. In the event of termination by the CITY, the CITY may require the CONTRACTOR promptly to assign to it all or some subcontracts, construction, plant, materials, tools, equipment, appliances, rental agreements, and other commitments which the CITY, in its sole discretion, chooses to take by assignment, and in such event the CONTRACTOR shall promptly execute and deliver to the CITY written assignments of the same.

15.3. CONTRACTOR MAY STOP WORK OR TERMINATE:

15.3.1. If, through no act or fault of CONTRACTOR, the WORK is suspended for a period of more than ninety (90) days by the CITY or under an order of court or other public authority, or CITY fails to act on any Application for Payment within thirty (30) days after it is submitted, or the CITY fails for sixty (60) days to pay CONTRACTOR any sum finally determined to be due, then CONTRACTOR may, upon seven (7) days written notice to the CITY, terminate the Contract and the CITY will pay the CONTRACTOR for that portion of the Contract Sum, less the aggregate of previous payments, allocable to the WORK completed as of the Date of Termination plus reasonable termination expenses. The CITY will not be responsible to reimburse the CONTRACTOR for any continuing contractual commitments for canceling such contractual commitments inasmuch as the CONTRACTOR shall make all subcontracts and other commitments subject to this provision. The CITY may require the CONTRACTOR promptly to assign to it all or some subcontracts, construction, plant, materials, tools, equipment, appliances, rental agreements, and any other commitments which the CITY, in its sole discretion, chooses to take by assignment, and in such event the CONTRACTOR shall promptly execute and deliver to the CITY written assignments of the same. In addition and in lieu of terminating the Contract, if CITY has failed to act on an Application for Payment or the CITY has failed to make any payment as aforesaid, CONTRACTOR may upon seven days written notice to the CITY stop the WORK until payment of all amounts then due. The provisions of this paragraph shall not relieve CONTRACTOR of the obligations under paragraph 6.13 to

carry on the WORK in accordance with the progress schedule and without delay during disputes and disagreements with the CITY.

ARTICLE 16 – DISPUTE RESOLUTION

16.1. All claims, disputes and other matters in question between CITY and CONTRACTOR arising out of or relating to the Contract Documents or the breach thereof (except for claims which have been waived by the making or acceptance of final payment as provided by paragraph 14.11) will be decided by arbitration in accordance with the Construction Industry Arbitration Rules of the American Arbitration Association then obtaining, subject to the limitations of this Article 16. This agreement so to arbitrate and any other agreement or consent to arbitrate entered into in accordance herewith as provided in this Article 16 will be specifically enforceable under the prevailing law of any court having jurisdiction.

16.2. No demand for arbitration of any claim, dispute or other matter that is required to be referred to CITY initially for the decision in accordance with paragraph 9.9 will be made until the earlier of (a) the date on which CITY has rendered a written decision or (b) the thirty-first (31st) day after the parties have presented their evidence to CITY if a written decision has not been rendered by CITY before that date. No demand for arbitration of any such claim, dispute or other matter will be made later than thirty (30) days after the date on which CITY has rendered a written decision in respect thereof in accordance with paragraph 9.9; and the failure to demand arbitration within said thirty (30) days' period will result in CITY's decision being final and binding upon CITY and CONTRACTOR. If CITY renders a decision after arbitration proceedings have been initiated, such decision may be entered as evidence but will not supersede the arbitration proceedings, except where the decision is acceptable to the parties concerned. No demand for arbitration of any written decision of CITY rendered in accordance with paragraph 9.8 will be made later than ten days after the party making such demand has delivered written notice of intention to appeal as provided in paragraph 9.8.

16.3. Notice of the demand for arbitration will be filed in writing with the other party to the Agreement and with the American Arbitration, and a copy will be sent to CITY for information. The demand for arbitration will be made within the thirty-day or ten-day period specified in paragraph 16.2 as applicable, and in all other cases within a reasonable time after the claim, dispute or other matter in question has arisen, and in no event shall any such demand be made after the date when institution of legal or equitable proceedings based on such claim, dispute or other matter question would be barred by the applicable statute of limitations.

16.4. Except as provided in paragraph, 16.5 below, no arbitration arising out of or relating to the Contract Documents shall include by consolidation, joinder or in any other manner any other person or entity (including CITY and the officers, directors, agents, employees or any of them) who is not a party to this contract unless:

16.4.1. the inclusion of such other person or entity is necessary if complete relief is to be afforded among those who are already parties to the arbitration, and

16.4.2. such other person or entity is substantially involved in a question of law or fact which is common to those who are already parties to the arbitration and which will arise in such proceeding, and

16.4.3. the written consent of the other person or entity sought to be included and of CITY and CONTRACTOR has been obtained for such inclusion, which consent shall make specific reference to this paragraph; but no such consent shall constitute consent to arbitration of any dispute not specifically described in such consent or to arbitration with any party not specifically identified in such consent.

16.5. Notwithstanding paragraph 16.4 if a claim, dispute or other matter in question between CITY and CONTRACTOR involves the Work of a SUB-CONTRACTOR, either CITY or CONTRACTOR may join such SUB-CONTRACTOR as a party to the arbitration between CITY and CONTRACTOR hereunder. CONTRACTOR shall include in all subcontracts required by paragraph 6.5.5 a specific provision whereby the SUB-CONTRACTOR consents to being joined in arbitration between CITY and CONTRACTOR involving the Work of such SUB-CONTRACTOR. Nothing in this paragraph 16.5 nor in the provision of such subcontract consenting to joinder shall create any claim, right or cause of action in favor of SUB-CONTRACTOR and against CITY that does not otherwise exist.

16.6. The award rendered by the arbitrators will be final, judgment may be entered upon it in any court having jurisdiction thereof, and it will not be subject to modification or appeal.

16.7. CITY and CONTRACTOR agree that they shall first submit any and all unsettled claims, counterclaims, disputes and other matters in questions between them arising out of or relating to the Contract Documents or the breach thereof ("disputes"), to mediation by The American Arbitration Association under the Construction Industry Mediation Rules of the American Arbitration Association prior to either of them initiating against the other a demand for arbitration pursuant to paragraphs 16.1 through 16.6, unless delay in initiating arbitration would irrevocably prejudice one of the parties. The respective thirty and ten day time limits within which to file a demand for arbitration as provided in paragraphs 16.2 and 16.3 above shall be suspended with respect to a dispute submitted to mediation within those same applicable time limits and shall remain suspended until ten days after the termination of the mediation. The mediator of any dispute submitted to mediation under this Agreement shall not serve as arbitrator of such dispute unless otherwise agreed.

ARTICLE 17 -- MISCELLANEOUS

17.1. GIVING NOTICE:

17.1.1. Whenever any provision of the Contract Documents requires the giving of written notice, it will be deemed to have been validly given if delivered in person to the individual or to a member of the firm or to an officer of the corporation for whom it is intended, or if delivered at or sent by registered or certified mail, postage prepaid, to the last business address known to the giver of the notice.

17.2. COMPUTATION OF TIME:

17.2.1. When any period of time is referred to in the

Contract Documents by days, it will be computed to exclude the first and include the last day of such period. If the last day of any such period falls on a Saturday or Sunday or on a day made a legal holiday by the law of the applicable jurisdiction, such day will be omitted from the computation.

17.3. NOTICE OF CLAIM:

17.3.1. Should CITY or CONTRACTOR suffer injury or damage to person or property because of any error, omission or act of the other party or of any of the other party's employees or agents or others for whose acts the other party is legally liable, claim will be made in writing to the other party within a reasonable time of the first observance of such injury or damage. The provisions of this paragraph 17.3 shall not be construed as a substitute for or a waiver of the provisions of any applicable statute of limitations or repose.

17.4. CUMULATIVE REMEDIES:

17.4.1. The duties and obligations imposed by these General Conditions and the rights and remedies available hereunder to the parties hereto, and, in particular but without limitation, the warranties, guarantees and obligations imposed upon CONTRACTOR by paragraphs 6.30, 13.1, 13.12, 13.14, 14.3 and 15.2 and all of the rights and remedies available to the CITY thereunder, are in addition to , and are not to be construed in any way as a limitation of, any rights and remedies available to any or all of them which are otherwise imposed or available by Laws or Regulations, by special warranty or guarantee or by other provisions of the Contract Documents, and the provisions of this paragraph will be as effective as if repeated specifically in the Contract Documents in connection with each particular duty obligation, right and remedy to which they apply. All representations warranties and guarantees made in the Contract Documents will survive final payment and termination or completion of the Contract.

17.4. ACCIDENT AND PREVENTION:

17.4.1. The safety provisions of applicable laws and building and construction codes shall be observed and the CONTRACTOR shall take or cause to be taken such additional safety and health measures as the Local Public Agency involved may determine to be reasonably necessary. Machinery, equipment and all hazards shall be guarded in accordance with the safety provisions of the "Manual of Accident Prevention in Construction" as published by the Associated General CONTRACTORS of America, Inc. to the extent that such provisions are not in conflict with applicable laws. The CONTRACTOR shall maintain an accurate record of all cases of death, occupational disease, or injury requiring medical attention or causing loss of time from WORK, arising out of and in the course of employment on WORK under the Contract. The CONTRACTOR shall promptly furnish the Local Public Agency with reports concerning these matters.

17.5. NATIONAL EMERGENCY

17.5.1. In the event the CITY is prevented from proceeding with any or all of this WORK as stated in this Contract, due to a declaration of war, or national emergency, by the United States government, whereas the construction of the type contracted for herein is specifically prohibited by statute or governmental edict, or due to the stoppage of construction caused by any governmental agency, State, CITY, Town, or County regulations, orders, restrictions, or due to circumstances beyond the CITY'S control, then the CITY

herein reserves the right to either suspend the WORK to be done for an indefinite period of time or to cancel this Contract outright by giving notice by registered mail of such intention to the CONTRACTOR herein. In the event of any conditions above mentioned occurring after the WORK herein has already been commenced, then the CITY herein shall be liable for only the cancellation or suspension without the addition of prospective profits or other changes whatsoever.

17.6. FLORIDA PRODUCTS AND LABOR:

17.6.1. The CONTRACTOR'S attention is called to Section 255.04, Florida Statutes, which requires that on public building contracts, Florida products and labor shall be used wherever price and quality are equal.

17.7. EMPLOYEES:

17.7.1. All labor described in these specifications or indicated on the Drawings and the WORK specified or indicated shall be executed in a thoroughly substantial and workmanlike manner by mechanics skilled in the applicable trades.

17.7.2. Any person employed on the WORK who fails, refuses or neglects to obey the instructions of the CONTRACTOR in anything relating to this WORK or who appears to the CITY to be disorderly, intoxicated, insubordinate, or incompetent, shall upon the order of the CITY, be at once discharged and not again employed in any part of the WORK. Any interference with, or abuse or threatening conduct toward the CITY or their inspectors by the CONTRACTOR or his employees or agents, shall be authority for the CITY to annul the Contract and re-let the WORK. No intoxicating substance shall be allowed on the WORK site.

17.8. NON-DISCRIMINATION:

17.8.1. The CONTRACTOR shall not discriminate against employees or applicants for employment because of race, creed, color, religion, sex, age, handicapped status, disabilities, or national origin. The CONTRACTOR will endeavor to ensure that applicants are employed and that employees are treated during employment, without regard to their race, creed, color, religion, sex, age, handicapped status, or national origin. Such action shall include but not be limited to the following: employment, upgrading, demotion, or transfer; recruitment advertising; layoff or termination; rates of pay or other forms of compensation; and selection for training including apprenticeship. The CONTRACTOR agrees to post in conspicuous places, available to employees and applicants for employment, notices setting forth the provisions of this nondiscrimination clause. These provisions apply to all SUB-CONTRACTORS and it is the responsibility of the SUB-CONTRACTOR compliance.

17.9. DRUG-FREE WORKPLACE:

17.9.1. The CITY requires all prospective CONTRACTORS to maintain a drug free work place and have their Drug Free Workplace policy posted in their offices and available for inspection by the CITY.

17.10. PUBLIC ENTITY CRIMES:

17.10.1. Pursuant to F.S. 287.133, as amended: a person or affiliate who has been placed on the convicted vendor list following a conviction for a public entity crime may not

submit a Bid on a Contract to provide any goods or services to a public entity, may not submit a Bid on a Contract with a public entity for the construction or repair of a public building or public work, may not submit Bids on leases of real property to a public entity, may not be awarded or perform work as a CONTRACTOR, supplier, SUB-CONTRACTOR, or CITY under a Contract with any public entity, and may not transact business with any public entity in excess of the threshold amount provided in F.S. 287.017 for CATEGORY TWO or higher for a period of 36 months from the date of being placed on the convicted vendor list.

17.11. ASSIGNMENT:

17.11.1. This Contract, nor any monies due hereunder, or any part thereof, shall not be assigned, or transferred, by CONTRACTOR, nor shall the CITY be liable to any assignee or transferee, without the written consent of the CITY, to the assignment, or transfer. The CITY shall not release or discharge CONTRACTOR from any obligation hereunder. The CITY shall not approve an assignment or transfer unless the Surety on the Contract Performance and Payment Bonds has informed the CITY in writing that it consents to the assignment or transfer.

17.12. VENUE:

17.12.1. This Contract shall be governed by the laws of the State of Florida as now and hereafter in force. The venue for actions arising out of this Contract is fixed in Broward County, Florida.

17.13. ASBESTOS:

17.13.1. If the CONTRACTOR during the course of the WORK observes the existence of asbestos in any structure, building or facility, the CONTRACTOR shall promptly notify the CITY. The CITY shall consult with the CITY regarding removal or encapsulation of the asbestos material and the CONTRACTOR shall not perform any WORK pertinent to the asbestos material prior to receipt of special instructions from the CITY.

17.14. RIGHT TO AUDIT:

17.14.1. If the CONTRACTOR submits a claim to the CITY for additional compensation, the CITY shall have the right, as a condition to considering the claim, and as a basis for evaluation of the claim, and until the claim has been settled, to audit the CONTRACTOR'S books to the extent they are relevant. This right shall include the right to examine books, records, documents, and other evidence and accounting procedures and practices, sufficient to discover and verify all direct and indirect costs of whatever nature claimed to have been incurred or anticipated to be incurred and for which claim has been submitted. The right to audit shall include the right to inspect the CONTRACTOR'S plants, or such parts thereof, as may be or have been engaged in the performance of the WORK. The CONTRACTOR further agrees that the right to audit encompasses all subcontracts and is binding upon all SUB-CONTRACTORS. The rights to examine and inspect herein provided for shall be exercisable through such representatives as the CITY deems desirable during the CONTRACTOR'S normal business hours at the office of the CONTRACTOR. The accounting records and documents, and other financial data, and upon request, shall submit true copies of requested records to the CITY.

(END)